



Network Pricing Proposal

Period 3
1 July 2009 to 30 June 2010

Version 1.4 – May 2009

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Document History

Date	Version	Comments
31 March 2009	1.0	Original
23 April 2009	1.2	Approved for submission
30 April 2009	1.3	Submitted to OTTER
1 May 2009	1.4	Resubmission to OTTER to reflect changes in Transend Pricing decision by AER, released 30 April 2009

1 Introduction

1.1 Purpose

This Pricing Proposal has been prepared to fulfil the dual roles of compliance with the Guideline and to provide customers connected to the Aurora Distribution Network with an indication of the proposed tariffs for their use of the network during the third period governed by the Determination, which is to run from 1 July 2009, until 30 June 2010.

1.2 Regulatory Arrangements

Aurora is a Tasmanian Government owned electricity distribution and retail company. It was formed in July 1998 pursuant to the *Electricity Companies Act 1997* and incorporated under the Corporations Law. It has two shareholders, the Minister for Energy and the Treasurer.

As the monopoly provider of distribution and certain metering services within the Tasmanian jurisdiction, Aurora is required to hold a distribution licence in accordance with the ESI Act. This licence was issued in December 1998, and authorises Aurora to distribute electricity on mainland Tasmania subject to certain conditions and regulatory controls.

The Office of the Tasmanian Economic Regulator undertakes the regulation of distribution services within the Tasmanian jurisdiction. A key component of this jurisdictional regulation is the review and monitoring of the economic framework that will apply to the regulated businesses within the jurisdiction.

Under this economic framework the Regulator is required to investigate the prices for the provision of distribution and metering services in accordance with the Price Control Regulations. This investigation culminates in the release of a pricing determination that outlines the maximum allowable revenues, or prices, that Aurora may earn for the provision of regulated distribution and metering services for the regulatory period.

The 2007 Determination was delivered in October, 2007, and sets the maximum allowable revenues and prices that Aurora may earn for the regulatory period from 1 January 2008, to 30 June 2012.

Tariffs for collection of revenues allowed by the Determination are constructed in compliance with the Determination and the Guideline.

1.3 Current Network Tariffs

The Network Tariffs offered in Period 2, which runs from 1 July 2008, until 30 June 2009, are presented in Table 1

Table 1: Network Tariffs Offered in Period 2

Tariff	MSATS Code	Description	NUoS Components
N01	AURESGEN	General Network – Residential	Daily charge with declining three step energy charge
N02	AUBLVGEN	General Network – Business	Daily charge with declining two step energy charge
N02a	AUBLVNURSE	General Network – Business, Nursing Homes	Daily charge with declining two step energy charge - Obsolete
N02b	AUBLVCURT	General Network – Business, Curtilage	Daily charge with declining two step energy charge - Obsolete
N03	AUBLVDMKW	LV kW Demand	Daily charge, single energy charge and declining two step demand charge - Obsolete
N05	AUHEATUNCO	Uncontrolled Energy	Daily charge with single energy charge
N06	AUHEATCONT	Controlled Energy	Daily charge with single energy charge
N07	AUUMS	Small LV Unmetered	Daily charge with single energy charge
N08	AUIRRIG	LV Day/Night (Irrigation)	Daily charge with peak and off-peak energy charge
N09	AUBLVDMKVA	LV kVA Demand	Daily charge, single energy charge and declining two step demand charge
N10	AUBHVDMKVA	HV kVA Demand	Daily charge, single energy charge and single demand charge
N11	AUBHVDMKW	HV kW Demand	Daily charge, single energy charge and single demand charge - Obsolete
N13	AUPAYG	LV APAYG	Daily charge with single energy charge
N15	AUCHVDM2	HV kVA Specified Demand (> 2.0MVA)	Daily charge, time of use energy charge, specified and excess demand charges and nodal transmission charge
N20		Street Lighting	Single demand charge
ITC	AUSPCCUST	Individual Network Tariff Calculation	Charges individually calculated for each customer

1.4 Proposed Network Tariff Rates for Period 3

The following table summarises the proposed Network Tariff rates for Period 3.

Table 2: Network Tariff Rates for Period 3

Network Tariff	Tariff Description	Daily Charge c/day	Metering Charge c/day (if applicable)	ToU Energy Rates c/kWh			Step Energy Rates c/kWh			Step Demand Rates c/kVA (kW)/day		Capacity Charges c/kVA/day	
				Peak	Shoulder	Off-Peak	Step 1	Step 2	Remaining	Step 1	Remaining	Specified	Excess
N01	General Network - Residential	35.812	7.671				10.587	9.528	8.999				
N02	General Network - Business	35.812	11.105				11.466		8.999				
N02a	General Network - Nursing	35.812	11.105				10.427		5.501				
N02b	General Network - Curtilage	3.581	11.105				11.466		8.999				
N03	LV kW Demand	188.752	14.188						2.374	48.921	44.093		
N05	Uncontrolled Energy	3.581	7.614						3.094				
N06	Controlled Energy	7.032	7.813						0.837				

Network Pricing Proposal - Period 3

Network Tariff	Tariff Description	Daily Charge c/day	Metering Charge c/day (if applicable)	ToU Energy Rates c/kWh			Step Energy Rates c/kWh			Step Demand Rates c/kVA (kW)/day		Capacity Charges c/kVA/day	
				Peak	Shoulder	Off-Peak	Step 1	Step 2	Remaining	Step 1	Remaining	Specified	Excess
N06a	Controlled Energy	7.032	7.813						0.795				
N07	Small LV Unmetered	26.859							13.640				
N08	LV Irrigation (Day/Night)	172.092	13.857	11.466		0.837							
N08a	LV Irrigation (ToU)	155.550	14.189	11.466	7.204	0.812							
N09	LV kVA Demand	174.770	14.188						2.198	38.502	34.703		
N10	HV kVA Demand	119.720	61.394						1.150		22.250		
N10s	HV kVA Specified Demand	119.720		1.036	0.827	0.512						16.686	166.860
N11	HV kW Demand	129.298	61.394						1.242		28.270		
N13	LV PAYG	35.812							7.368				
N13b	LV ToU - Business	35.812	14.189	8.999	5.733	0.837							

Network Pricing Proposal - Period 3

Network Tariff	Tariff Description	Daily Charge c/day	Metering Charge c/day (if applicable)	ToU Energy Rates c/kWh			Step Energy Rates c/kWh			Step Demand Rates c/kVA (kW)/day		Capacity Charges c/kVA/day	
				Peak	Shoulder	Off-Peak	Step 1	Step 2	Remaining	Step 1	Remaining	Specified	Excess
N13r	LV ToU - Residential	35.812	9.556	9.528	6.051	0.837							
N15	HV In Excess of 2MVa	1620.800		1.216	0.329	0.042						8.005	40.025

2 Proposed Changes for Period 3

This section is to address Guideline 2.3(d)(9):

“A Network Tariff Pricing Proposal must...describe the nature and extent of and proposed changes from the previous period and demonstrate that the changes comply with these Guideline and the 2007 Determination...”

The following sections detail the changes that Aurora proposes to make to its suite of Network Tariffs for Period 3.

Aurora interprets the requirement to “demonstrate that the changes comply with these Guideline” to mean that details of the tariffs should be presented as outlined in Section 6.2 of this Pricing Proposal. Aurora submits that this is the case, with the tariffs presented in Section 3.

Aurora interprets the requirement to “demonstrate that the changes comply with...the 2007 Determination” to mean that Aurora must demonstrate that the new tariffs have been developed such that they comply with the Pricing Principles set out in the 2007 Determination. These principles, the meaning of compliance with them, and the methodologies applied to ascertain compliance, have been addressed in the NTS (Section 9). Their application to the changes to the proposed tariff suite is presented below.

Aurora has also consulted on the introduction of new tariffs and changes to existing tariffs via the previous release of two papers:

- Introduction of Time of Use and Specified Demand Network Tariff Charging Components Issues Paper (the Issues Paper); and
- Proposed Implementation Timetable for Time of Use Tariffs Position Paper (the Position Paper).

2.1 Proposed Changes for Period 3

Aurora proposes to make six changes to its suite of Network Tariffs for Period 3.

2.1.1 HV Specified Demand with Time of Use Tariff (N10S)

Aurora currently has two metered demand tariffs applicable to sites taking supply at HV with a demand of less than 2 MVA: HV kW Demand tariff N11 (Obsolete) and HV kVA Demand tariff N10. These tariffs are structurally identical, both having a single rate energy charge and a dual rate demand charge, with only the units for measuring demand differing.

In the Issues Paper Aurora proposed to rationalise the Network Tariff Suite and introduce a new Network Tariff (N10S) for all HV customers on the N10 and N11 Network Tariffs. Aurora has previously declared the Network Tariff N11 to be Obsolete and the tariff will also be deleted from the suite of Network Tariffs from 1 July 2012.

Accordingly, Aurora proposes to introduce this new Network Tariff in Period 3 and to also declare Network Tariff N10 to be Obsolete, meaning that no new sites are eligible for this tariff from 1 July 2009.

It should be emphasised that migration to the new Network Tariff will not be mandatory for existing connections during the current regulatory control period. Aurora will give existing customers choice to migrate from the current N10 and N11 HV Network Tariffs to the new time of use HV Network Tariff prior to the end of Period 5. Aurora will however delete the current N10 Network Tariff from the suite of Network Tariffs from 1 July 2012 and the tariff will not be available to any customers after that date.

2.1.2 LV Irrigation Time of Use Network Tariff (N08a)

Aurora currently offers a Network Tariff to irrigation customers that has simple peak and off-peak energy components, LV Day/Night Irrigation (N08). The energy pricing structure of this Network Tariff provides an irrigation customer with an incentive to irrigate at night, a time of low network demand. Whilst these irrigation customers currently have access to a time of use tariff (peak, off-peak) the intended introduction of other time of use tariffs may mean that irrigation customers may choose to move to these new tariffs in preference to the existing N08 Network Tariff. Aurora believes that this class of customer has seasonal consumption patterns that result in the bulk of their operations occurring during the warmer months of the year when system demand is lower.

In the Issues Paper, Aurora proposed to introduce a seasonal time of use tariff for irrigation customers. Aurora wishes to minimise any “price shocks” caused by changes to Network Tariff charging regimes. The solution adopted by Aurora is to introduce a new Network Tariff with the desired characteristics. This solution provides an additional, logistical advantage: new meters will be required at sites adopting the new Network Tariff; the introduction of a new tariff should allow a staged introduction as the tariff is taken up. To this end Aurora will declare the existing Network Tariff N08 to be Obsolete, meaning that no new sites are eligible for this tariff from 1 July 2009.

In the Position Paper, Aurora proposed that the start times for the Week Day and Weekend Day periods of tariff N08a would commence at 8:00am (AEST); however, upon review it was determined that the start times for these periods will be 7:00am (AEST). The Position Paper also proposed that tariff N08 would be deleted from the suite of Network Tariffs from 1 July 2012. Feedback received by Aurora has indicated that this may not be equitable and Aurora will now not delete tariff N08 from the suite of Network Tariffs until 1 July 2014 (a period of 5 years).

2.1.3 LV General Residential Time of Use Tariff (N13r)

The Aurora Retail pre-payment product “Pay-As-You-Go” possesses Time of Use energy components. The current technology for this product is provided by Aurora Retail and utilises a combined meter and prepayment module in a single device. The current Network Tariff used to support the product, LV APAYG N13, contains only a fixed daily charge and a single-rate energy consumption-based charge.

When the Retail Tariff was introduced, the provision of pre-payment metering was unregulated, and Aurora's Retail division owned the specialised metering equipment, so it was inappropriate for the regulated distribution business to collect revenue for the provision of metering services. In addition, the metering data was not available to Aurora's distribution business, and so Time of Use network charging components were unavailable.

Advances in metering technology, however, now permit a Retailer to add a pre-payment unit to an electronic meter, rather than requiring a completely different meter-pre-payment unit combination. Aurora has chosen its new standard small customer metering technology such that pre-payment units can be attached. This new meter is capable of providing metering data for Time of Use Network Tariffs.

In the Position Paper Aurora proposed to introduce a residential ToU Network Tariff for Aurora Pay As You Go customers to replace the existing N13 Network Tariff. Aurora has received feedback that the Position Paper was unclear on the proposed introduction of this tariff and wishes to clarify its intentions.

Aurora proposes to introduce this new Network Tariff N13r in Period 3 for those customers that take up the Aurora Pay As You Go tariff after 1 July 2009. Aurora will also declare the existing Network Tariff N13 to be Obsolete from this time, meaning that no new sites are eligible for tariff N13 from 1 July 2009. Customers that choose the Aurora Pay As You Go tariff and later remove this product will not be able to revert back to Network Tariffs N01, N05 and/or N06. These customers will remain on Network Tariff N13r and may also choose the controlled Network Tariff N06a.

In both the Issues Paper and the Position Paper Aurora proposed to introduce a residential ToU Network Tariff with off-peak energy charges applying to weekend day consumption. Aurora has received feedback that whilst the demand at weekend days is lower than week days the demand profiles are similar and that the energy charge for weekend days should be set at shoulder rates as the consumption is not occurring at times of lowest system demand. Aurora agrees with this feedback and will set the energy charge for weekend days to shoulder.

Aurora intends to make Network Tariff N13r available to all residential customers from 1 July 2010.

2.1.4 LV General Business Time of Use Tariff (N13b)

Historically, support for the dedicated Nursing Home tariff was provided at both an Aurora Retail and Aurora Distribution level. From a Distribution Network point of view, this tariff was a discounted sub-set of the LV General Network – Business network tariff N02. During the 2004/5-consultation process, Aurora network proposed to completely phase out the Nursing Home network tariff [N02a] by 2009, noting that:

Aurora does not propose to retain a specific Nursing Home distribution tariff in the long run. Nursing homes generally use much of their energy during off-peak periods and may be better serviced by the Business ToU tariff.

No submissions were received on this point. Moreover, the Regulator, in the 2003 Determination, allowed Aurora to increase the Nursing Home Retail tariff by up to 6% above the appropriate CPI rate until N02a and N02 eventually reach parity.

The introduction of Retail Contestability will create several issues for network users. Most Nursing Home and the largest LV sites become contestable before FRC in Tranches 3 and 4. As a result, for compliance purposes, these sites will require metering capable of capturing interval data. With such metering it becomes possible to introduce LV Time of Use Network Tariff N13b with Time of Use energy charging components, in Period 3 as an alternative tariff for users currently on N02a or N02 that are contestable customers.

Aurora proposes to introduce this new Network Tariff N13b in Period 3 for those commercial customers that are classified as contestable customers in accordance with the Contestable Customer Regulations.

Aurora intends to make Network Tariff N13b available to all commercial customers from 1 July 2010.

2.1.5 Controlled Energy (N06a)

The introduction of a Time of Use Network Tariff for residential and business customers (N13r & N13b) ostensibly reduces the need for the off-peak Network Tariff N06. The Time of Use Network Tariffs remove the onus for operating appliances from Aurora to the customer, and it is possible for the customer to have a licensed electrical technician install and maintain time clocks to control the operation of larger appliances, thereby moving consumption from times of higher energy charges to times of lower energy charges.

In the Issues Paper, Aurora proposed to declare Network Tariff N06 to be Obsolete, with a view to transferring sites on this tariff to the appropriate new Time of Use Network Tariff. Following discussions with interested parties, it was concluded that to mandate a move to such a Network Tariff may produce undesirable outcomes. Some customers may not have either the desire or the resources to install and monitor private timing devices. A more equitable solution is to retain this Aurora-controlled tariff, while still offering the customer-controlled option.

Aurora intends to make this a true “off-peak” Network Tariff by aligning it with the times for the proposed new LV General Residential Time of Use Network Tariff. As a result, Aurora will remove the daily “afternoon boost” between 13:00 and 16:30 (AEST) and restrict the start time to 22:00 (AEST).

To avoid equity issues, however, Aurora will introduce the new off-peak tariff, and make Network Tariff N06a available to those customers that have access to either N13r or N13b from 1 July 2009. These customers will not have access to the existing N06 tariff and Network Tariff N06 will effectively be made Obsolete to these customers from 1 July 2009.

Aurora will declare the existing tariff N06 to be Obsolete to all customers in the future. This change will not occur until Period 4, which commences on 1 July 2010. It should be emphasised that migration to the new Network Tariff will not be mandatory for existing connections.

2.1.6 Change to Terms and Conditions for Calculation of Specified Demand Charges (N15)

Aurora's current Network Tariff N15 is applicable to HV customers with demand in excess of 2 MVA. The demand-based charging is currently based on monthly ATMD, which is the peak 15 minute demand recorded for that month.

In the Issues Paper, Aurora proposed to alter the Specified Demand Charge methodology where excess demand charges will be calculated on a daily, rather than a monthly basis. No submissions were received and Aurora therefore proposes to alter the Specified Demand charging methodology for existing customers on Network Tariff N15 (>2 MVA) to a daily basis.

2.2 Compliance with the Pricing Principles

2.2.1 Postage Stamp Pricing

Network Tariff Pricing Principle (a) of Schedule 2 of the Determination requires that:

Network tariffs for small customers belonging to a particular class are to be uniform, regardless of where in mainland Tasmania the customer is supplied with electricity.

The Network Tariffs for all LV tariffs have been set to be uniform across the state. The only Network Tariffs that are not uniform are those for the largest HV customers or customers with specific connection characteristics that require an individual tariff calculation.

As an example the tariffs for Nursing Homes (N02a), Curtilage (N02b) and Aurora Pay As You Go (N13) are uniform across the state.

2.2.2 Bounded Revenues

Network Tariff Pricing Principle (b) of Schedule 2 of the Determination requires that:

For each Network Tariff class, the revenue expected to be recovered should lie on or between:

an upper bound representing the stand alone cost of serving the customers who belong to that class; and

a lower bound representing the avoidable cost of not serving those customers.

The meaning and methodology associated with this Principle is discussed in detail in Section 9.2 of the NTS. As an example the upper and lower bounds and the revenues recovered through the N02a and N02b tariffs are presented in Table 3. Inspection will show that the revenues expected to be recovered through the proposed tariffs lie between the prescribed upper and lower bounds.

Table 3: Assessment of Stand-Alone and Avoidable Costs against Forecast Tariff Revenue for Period 3

Tariff Class	Stand-Alone Cost (\$ million)	Expected Revenue (\$ million)	Avoidable Cost (\$ million)
N02b - General Network - Business less curtilage	245.7	1.8	-
N02a - General Network - Business Nursing Homes	245.7	1.5	-

A full listing of the bounded revenues can be found in Section 6.4.2

2.2.3 Charging Parameter Qualities

2.2.3.1 Tariffs and LRMC

Clause 2(c)(1) of Schedule 2 of the 2007 Determination requires that:

A Network Tariff, and if it consists of 2 or more charging parameters, each charging parameter for a tariff class must...take into account the long run marginal cost for the service, or in the case of a charging parameter, for the element of the service to which the charging parameter relates...

This clause is discussed in detail in Section 9.3.1 of the NTS. In line with that discussion, Aurora has structured the charging parameters to signal the impact that customers will have on the network, manage demand and volume variance risk, and avoid sending signals that could result in inefficient choices being made by customers of that tariff class. In this context:

- Aurora's fixed charge parameters for each tariff have been designed to recover the incremental costs that arise from the connection and management of the customer. This sends a signal to customers about the cost of their connection works and sets a constant and foreseeable price for those customers that assist them in making a decision to connect with full visibility of the costs. The fixed charges also provide Aurora with a fixed revenue source by which it can recover its costs and therefore ensure that upstream investment decisions can be made with clarity;
- Aurora Energy's volume charges are designed to recover the costs of the shared network on a basis which reflects the characteristics of the network user.

2.2.3.2 Transaction Costs, Fixed/Variable Charges, NEM Costs and Signals

Clause 2(c)(2) requires that

...a Network Tariff, and if it consists of 2 or more charging parameters, each charging parameter for a tariff class must be determined having regard to:

- Transaction costs associated with the tariff or each charging parameter;
- The observed proportion of fixed and variable charges applied in other NEM jurisdictions for similar services; and

- The appropriate allocation of costs associated with Aurora's participation in the NEM and retail contestability between contestable and non-contestable customers; and
- Whether customers of the relevant tariff class are able or likely to respond to price signals.

These requirements are discussed in detail in Section 9.3.2 of the NTS. Based on those discussions, Aurora wishes to make the following observations.

Aurora believes that it has met the transaction costs aspect of this principle because:

- The number and structure of its Network Tariffs have been established with reference to the transaction costs associated with that number and structure of tariffs. All of Aurora Energy's tariffs use standard usage and demand parameters which are readily measurable and provided by means of Aurora's existing metering and information systems; and
- The decision to introduce new Network Tariffs has been undertaken with reference to the transaction costs of abolishing or introducing these tariffs.

Bearing in mind the comments on this issue in Section 9.3.2 of the NTS, it is not possible to compare the proportions of fixed and variable costs for these tariffs with analogous tariffs in mainland jurisdictions because there are no analogous tariffs in mainland jurisdictions. Moreover, the discounted fixed costs for the curtilage tariff N02b distorts the proportions.

Aurora has however had regard to the large component of fixed costs that are borne by small consumption customers and has increased the fixed charges in most tariffs by CPI only. This decision does however come at a cost, and the variable component of all tariffs has increased by more than CPI to ensure an appropriate revenue recovery. Regard for the declining block nature of existing Aurora tariffs has also been a factor and Aurora has chosen to specifically increase the 'remaining' component of these tariff types by the largest amount to reflect the overall Australian and international push to send price signals that provide incentives to reduce network demand.

In relation to the requirement that a Network Tariff have regard for the appropriate allocation of NEM/contestability costs between contestable and non-contestable customers, Aurora Energy notes that:

- It has explicitly identified NEM and contestability costs in the DCOS model; and
- None of these costs have been allocated to non-contestable customers, in line with instructions received from the Regulator to this effect.

The ability of customers to respond to price signals should not be at question with the tariffs that Aurora has prepared for Period 3. Aurora has made newly introduced tariffs available to specific classes of customers because of their ability to respond to the pricing signals that are being provided. The likelihood of customers responding to those signals is, of course, a different matter. To ensure that customers respond appropriately to these new tariffs:

- Aurora consulted with key stakeholders as part of the development of new tariffs;
- feedback that has been received has been incorporated into the design of the new tariffs; and
- prices have been set such that customers should see a discount by moving to the new tariff.

2.2.3.3 Requirement to Adjust Tariffs to Recover Revenue

Clause 2(d) of the Guideline requires that:

If, however, as a result of the operation of paragraph (c), the Distribution Network Service Provider may not recover the expected revenue, the provider must adjust its Network Tariffs so as to ensure recovery of expected revenue with minimum distortion to efficient patterns of consumption.

Aurora believes that it has met the requirements of clause 2(c) of the Guideline and forecasts to recover its revenue requirement. As such, it has not found it necessary to apply the adjustment as required in clause 2(d).

2.2.4 Feedback received from the Regulator in Period 2

The Regulator made a number of observations of the Period 2 Network Tariffs that were proposed by Aurora and approved by the Regulator.

Aurora has considered these comments as part of the consultation undertaken prior to the introduction of the new Network Tariffs and the overall policy adopted for the Network Tariffs for Period 3.

Specifically, Aurora has made the following determinations on the Regulator's observations:

- Aurora will continue on its path to merge Network Tariffs N01 and N02 due to the similar connection characteristics of residential and small commercial operators.
- Aurora has chosen to increase fixed charges by a lower amount than variable costs due to the cost impacts on small consumption customers.
- Aurora will introduce specified demand tariffs for all HV customers and will give LV customers the choice of moving to this tariff regime in future periods.

3 Proposed Network Tariffs for Period 3

This section is to address Guideline:

- 2.3(d)(1) “A Network Tariff Pricing Proposal must...set out the proposed Network Tariffs that are to apply for the relevant period...”;
- 2.3(d)(2): “A Network Tariff Pricing Proposal must...set out, for each proposed Network Tariff, the terms and conditions and the charging parameters and the elements of service to which each charging parameter relates...”;
- 2.3(d)(3): “A Network Tariff Pricing Proposal must...detail the bona fide forecast installation numbers and loads and the basis of that forecast for each proposed Network Tariff used in developing the Network Tariff Pricing Proposal...”;
- 2.3(d)(4): “A Network Tariff Pricing Proposal must...set out, for each proposed Network Tariff, the expected revenue for that Network Tariff for the relevant regulatory period and also for the current regulatory period;
- 2.3(d)(5): “A Network Tariff Pricing Proposal must...detail any proposed amendments, variations or adjustments to the Network Tariff proposed, the justification for the proposed amendments, variations or adjustments and whether these amendments, variations or adjustments are consistent with the Network Tariff Strategy...”; and
- 2.3(d)(7): “A Network Tariff Pricing Proposal must...set out the nature of any proposed variation or adjustment to the Network Tariff that could occur during the subsequent periods and the basis on which it could occur...”

For simplicity, the Guideline is addressed by tariff class.

3.1 LV General Network – Residential (N01)

3.1.1 Terms and Conditions

MSATS Code AURESGEN

This tariff is for low voltage installations that are premises used wholly or principally as private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.).

Farm outbuildings may be connected on this tariff provided that the connection is through the meters for the farm residence.

A Type 6 meter is the minimum required for installations on this tariff.

3.1.2 Rates

Table 4: Proposed Tariff Rates and Charges for N01

N01 Tariff Charge	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	35.812	34.534	3.70%
First 500kWh per Quarter (c/kWh)	7.648	7.010	9.10%
Next 1,000kWh per Quarter (c/kWh)	6.883	6.902	-0.28%
Remaining Consumption (c/kWh)	6.501	5.486	18.50%
TUoS Charge			
First 500kWh per Quarter (c/kWh)	2.939	2.799	5.00%
Next 1000kWh per Quarter (c/kWh)	2.645	2.127	24.35%
Remaining Consumption (c/kWh)	2.498	2.127	17.44%
Meter Charge			
Daily Charge (c/day)	7.671	7.380	3.94%
Total Charge (NUoS)			
Daily Charge (c/day)	43.483	41.914	3.74%
First 500kWh per Quarter (c/kWh)	10.587	9.809	7.93%
Next 1,000kWh per Quarter (c/kWh)	9.528	9.029	5.53%
Remaining Consumption (c/kWh)	8.999	7.613	18.21%

3.1.3 Estimated Volumes and Revenues

Table 5: Forecast Installation Numbers, Loads and Revenues for N01

Forecast Installation Numbers	Period 3	Period 2
Customer (installation) days in period	64,086,334	70,407,588
Forecast Loads		
First 500kWh per Quarter (kWh)	300,749,631	338,086,082
Next 1,000kWh per Quarter (kWh)	319,873,419	357,357,096
Remaining Consumption (kWh)	183,651,426	151,288,347
Expected Revenue		
Daily Charge	\$27,866,661	\$29,510,636
First 500kWh per Quarter	\$31,840,363	\$33,162,864
Next 1,000kWh per Quarter	\$30,477,539	\$32,265,772
Remaining Consumption	\$16,526,792	\$11,517,582
Total	\$106,711,355	\$106,456,854

3.1.4 Variations Since Period 2

The tariff rates were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal. The extra increase in the third step of the consumption is part of the strategy to align the General Network Tariffs N01 and N02 (see Section 6.2 of the NTS for discussion on this point).

3.1.5 Future Variations

It is planned that the rates and charging elements of this Network Tariff and the General Network – Business tariff (N02) will be aligned between Period 2 and Period 5. This is in line with the NTS (see Section 6.2).

This tariff may be made Obsolete to new customers on 1 July 2010 following the introduction of the residential Time of Use energy tariff (N13r) to all customers. Aurora has received feedback from interested parties that making this tariff obsolete may not be beneficial to all customers and has not had time to consider this feedback.

Aurora will consult with interested parties prior to making a final decision on the potential obsolescence of this tariff in future Periods.

3.2 LV General Network – Business (N02)

3.2.1 Terms and Conditions

MSATS Code AUBLVGEN

This is the basic, LV Network Tariff for installations that are not private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.)

A Type 6 meter is the minimum required for installations on this tariff.

3.2.2 Rates

Table 6: Proposed Tariff Rates and Charges for N02

N02 Tariff Charge	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	35.812	34.534	3.70%
First 500kWh per Quarter (c/kWh)	8.175	7.883	3.70%
Remaining Consumption (c/kWh)	6.501	4.299	51.22%
TUoS Charge			
First 500kWh per Quarter (c/kWh)	3.291	3.134	5.01%
Remaining Consumption (c/kWh)	2.498	3.134	-20.29%
Meter Charge			
Daily Charge (c/day)	11.105	10.686	3.92%
Total Charge (NUoS)			
Daily Charge (c/day)	46.917	45.220	3.75%
First 500kWh per Quarter (c/kWh)	11.466	11.017	4.08%
Remaining Consumption (c/kWh)	8.999	7.433	21.07%

3.2.3 Estimated Volumes and Revenues

Table 7: Forecast Installation Numbers, Loads and Expected Revenue for N02

Forecast Installation Numbers	Period 3	Period 2
Customer (installation) days in period	13,265,803	13,375,973
Forecast Loads		
First 500kWh per Quarter (kWh)	51,043,249	52,676,388
Remaining Consumption (kWh)	744,676,757	750,143,929
Expected Revenue		
Daily Charge	\$6,223,917	\$6,048,615
First 500kWh per Quarter	\$5,852,619	\$5,803,358
Remaining Consumption	\$67,013,461	\$55,758,198
Total	\$79,089,997	\$67,610,171

3.2.4 Variations Since Period 2

The tariff rates were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal. The extra increase in the third step of the consumption is part of the strategy to align the General Network Tariffs N01 and N02 (see Section 6.2 of the NTS for discussion on this point).

3.2.5 Future Variations

It is planned that the rates and charging elements of this Network Tariff and the General Network – Residential tariff (N01) will be aligned between Period 2 and Period 5. This is in line with the NTS (see Section 6.2).

Aurora intends to make this Network Tariff N02 Obsolete after 1 July 2010 with the introduction of business Time of Use energy tariff (N13b) to all customers. Aurora has received feedback from interested parties that making this tariff obsolete may not be beneficial to all customers and has not had time to consider this feedback.

Aurora will consult with interested parties prior to making a final decision on the potential obsolescence of this tariff in future Periods.

3.3 LV General Network – Business - Nursing Homes (N02a)

3.3.1 Terms and Conditions

MSATS Code AUBLVNURSE

This LV Network Tariff is applicable only to those businesses registered as Aged Care facilities.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.).

A Type 6 meter is the minimum required for installations on this tariff.

This tariff is Obsolete, with no new connections allowed from 1 July 2008. Customers who choose to transfer off any one Obsolete tariff for an installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

3.3.2 Rates

Table 8: Proposed Tariff Rates and Charges for N02a

N02a Tariff Rates	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	35.812	32.911	8.81%
First 500kWh per Quarter (c/kWh)	7.664	6.987	9.69%
Remaining Consumption (c/kWh)	3.449	3.144	9.70%
TUoS Charge			
First 500kWh per Quarter (c/kWh)	2.763	2.519	9.69%
Remaining Consumption (c/kWh)	2.052	1.871	9.67%
Meter Charge			
Daily Charge (c/day)	11.105	10.686	3.92%
Total Charge (NUoS)			
Daily Charge (c/day)	46.917	43.597	7.62%
First 500kWh per Quarter (c/kWh)	10.427	9.506	9.69%
Remaining Consumption (c/kWh)	5.501	5.015	9.69%

3.3.3 Estimated Volumes and Revenues

Table 9: Forecast Installation Numbers, Loads and Expected Revenues for N02a

N02a	Period 3	Period 2
Forecast Installation Numbers		
Customer (installation) days in period	17,103	37,778
Forecast Loads		
First 500kWh per Quarter (kWh)	84,860	198,802
Remaining Consumption (kWh)	27,723,782	39,780,287
Expected Revenue		
Daily Charge	\$8,024	\$16,470
First 500kWh per Quarter	\$8,848	\$18,898
Remaining Consumption	\$1,525,085	\$1,994,981
Total	\$1,541,958	\$2,030,349

3.3.4 Variations Since Period 2

The DUoS and TUoS components of this tariff were increased at a rate of 6% above the CPI increase of 3.7% between Period 2 and Period 3. These issues are in line with Section 6.6 of the NTS.

3.3.5 Future Variations

The 2005 Report indicated that Aurora intended to make this Network Tariff Obsolete by 2009, noting that: “Nursing homes generally use much of their energy during off-peak periods and may be better serviced by the Business ToU tariff.” To this end, with the approval of the Regulator in the 2003 Determination, Aurora began to align the N02a and N02 tariffs, by increasing the N02a tariff at a rate of CPI + 6% per annum. This is discussed further in Section 6.6 of the NTS.

Aurora has introduced LV Time of Use (N13b) and LV Demand Tariffs (N09) (see the NTS Sections 6.3 & 6.4) in Period 3, which should provide attractive alternative tariffs for nursing home operators. There is already a Metered Demand Network Tariff (N03) that is available for this purpose.

3.4 LV General Network – Business - Same Curtilage (N02b)

3.4.1 Terms and Conditions

MSATS Code AUBLVCURT

This tariff is for rural customers having a single LV connection point but requiring more than one meter due to site layout.

The single connection point must supply an installation qualifying for, and being supplied on the General Network - Residential tariff N01.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.)

This tariff is Obsolete, with no new connections allowed from 1 July 2008.

Customers who choose to transfer off any one Obsolete tariff for an installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

A Type 6 meter is the minimum required for installations on this tariff.

3.4.2 Rates

Table 10: Proposed Tariff Rates and Charges for N02b

N02b Tariff Rates	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	3.581		
First 500kWh per Quarter (c/kWh)	8.175	7.883	3.70%
Remaining Consumption (c/kWh)	6.501	4.299	51.22%
TUoS Charge			
First 500kWh per Quarter (c/kWh)	3.291	3.134	5.01%
Remaining Consumption (c/kWh)	2.498	3.134	-20.29%
Meter Charge			
Daily Charge (c/day)	11.105	10.686	3.92%
Total Charge (NUoS)			
Daily Charge (c/day)	14.686	10.686	37.43%
First 500kWh per Quarter (c/kWh)	11.466	11.017	4.08%
Remaining Consumption (c/kWh)	8.999	7.433	21.07%

3.4.3 Estimated Volumes and Revenues

Table 11: Forecast Installation Numbers, Loads and Expected Revenues for N02b

N02b	Period 3	Period 2
Forecast Installation Numbers		
Customer (installation) days in period	1,496,135	1,883,035
Forecast Loads		
First 500kWh per Quarter (kWh)	1,734,663	4,552,924
Remaining Consumption (kWh)	14,742,424	9,447,076
Expected Revenue		
Daily Charge	\$219,722	\$201,221
First 500kWh per Quarter	\$198,896	\$501,596
Remaining Consumption	\$1,326,671	\$702,201
Total	\$1,745,290	\$1,405,018

3.4.4 Variations Since Period 2

The rates for this tariff were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal. The daily charge for this tariff has been set at 10% of the charge for tariff N02, which is consistent with Section 6.7 of the NTS.

3.4.5 Future Variations

Aurora intends to phase out this tariff over 10 years, as discussed in Section 6.7 of the NTS. This is the second year in that process, with customers receiving a 90% discount on the daily charge.

3.5 LV Aurora Pay As You Go (N13)

3.5.1 Terms and Conditions

MSATS Code AUPAYG

This tariff supports the *Aurora Pay As You Go* product offered by Aurora Retail, and is not to be used for any other application.

This tariff is for low voltage installations that are premises used wholly or principally as private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.).

This tariff may not be used in conjunction with any other Network Tariff.

This tariff is Obsolete, with no new connections allowed from 1 July 2009.

Customers who choose to transfer off any one Obsolete tariff for an installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

Metering for this tariff is provided by Aurora Retail.

3.5.2 Rates

Table 12: Proposed Tariff Rates and Charges for N13

N13	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	35.812	33.302	7.54%
All Energy (c/kWh)	5.258	3.584	46.71%
TUoS Charge			
All Energy (c/kWh)	2.110	1.955	7.93%
Total Charge (NUoS)			
Daily Charge (c/day)	35.812	33.302	7.54%
All Energy (c/kWh)	7.368	5.539	33.02%

3.5.3 Estimated Volumes and Revenues

Table 13: Forecast Installation Numbers, Loads and Revenues for N13

N13	Period 3	Period 2
Forecast Installation Numbers		
Customer (installation) days in period	16,375,611	15,825,305
Forecast Loads		
All Energy (kWh)	435,369,838	422,669,645
Expected Revenue		
Daily Charge	\$5,864,434	\$5,270,143
All Energy	\$32,078,050	\$23,411,672
Total	\$37,942,483	\$28,681,815

3.5.4 Variations Since Period 2

The overall tariff escalation rates were varied as per the strategy presented in Section 5.1. The daily charge for this tariff has been aligned with tariff N01 as the connection characteristics of PAYG customers are consistent with all other residential customers.

The energy charge for this tariff has been set to better reflect the ToU characteristics of this tariff and to be consistent with the new ToU tariff N13r. This has meant that the energy charge for this tariff has increased above the average for other tariffs.

This tariff has been made Obsolete with the introduction of the LV ToU Network Tariff (N13r) with no new connections from 1 July 2009.

3.5.5 Future Variations

This tariff will be deleted when sites that are metered with an Aurora Retail owned meter are below a manageable number for statewide meter upgrades.

3.6 LV General Residential Time of Use Tariff (N13r)

3.6.1 Terms and Conditions

MSATS Code: AURESTOU.

This Network Tariff is applicable to all qualifying sites that are connected to the Aurora distribution network on or after 1 July 2009. Existing qualifying sites may transfer to this Network tariff on or after 1 July 2010. Existing qualifying sites already on the Network Tariff at 1 July 2010, may remain on this tariff.

This tariff is for low voltage installations that are premises used wholly or principally as private residential dwellings. A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

A site qualifies for this Network Tariff if:

- the installation is, or has been, supplied under the Aurora Retail “Pay As You Go” tariff on or after 1 July 2009.

There are no restrictions on the use for the supply.

Note: Farm outbuildings may be connected on this tariff provided that the connection is through the meters for the farm residence.

A site that is supplied under this tariff may not move to Network Tariff N01.

A meter capable of recording time of use data is required for installations on this tariff.

The Use of System charges applicable for this tariff is composed of the following charging components:

- a) DUOS
 - i) A fixed daily charge; and
 - ii) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 14.
- b) TUOS
 - i) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 14.
- c) Metering
 - i) A charge for the provision of metering services may apply, depending upon whether or not Aurora is appointed as Metering Provider.

For connection on this tariff, water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and

- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

3.6.2 ToU Time Periods

Table 14: Time Periods for Residential ToU Tariff N13r

Time Period	Tariff Rate
Week Day (0700 – 1100) (Monday – Friday)	Peak
Week Day (1100 – 1630) (Monday – Friday)	Shoulder
Week Day (1630 – 2200) (Monday – Friday)	Peak
Weekend Day (0700 – 2200) (Saturday & Sunday)	Shoulder
Any Day (2200 – 0700) (Monday – Sunday)	Off-peak

3.6.3 Rates

Table 15: Proposed Tariff Rates and Charges for N13r

N13r	Period 3
DUoS Charge	
Daily Charge (c/day)	35.812
Peak Energy (c/kWh)	6.883
Shoulder Energy (c/kWh)	4.267
Off-Peak Energy (c/kWh)	0.343
TUoS Charge	
Peak Energy (c/kWh)	2.645
Shoulder Energy (c/kWh)	1.784
Off-Peak Energy (c/kWh)	0.494
Meter Charge	
Daily Charge (c/day)	9.556
Total Charge (NUoS)	
Daily Charge (c/day)	45.368
Peak Energy (c/kWh)	9.528
Shoulder Energy (c/kWh)	6.051
Off-Peak Energy (c/kWh)	0.837

3.6.4 Estimated Volumes and Revenues

Table 16: Forecast Installation Numbers, Loads and Revenues for N13r

N13r	Period 3
Forecast Installation Numbers	
Customer (installation) days in period	540,395
Forecast Loads	
Peak Energy (kWh)	5,440,480
Shoulder Energy (kWh)	5,010,332
Off-Peak Energy (kWh)	3,916,393
Expected Revenue	
Daily Charge	\$245,166
Peak Energy	\$518,369
Shoulder Energy	\$303,175
Off-Peak Energy	\$32,780
Total	\$1,099,491

3.6.5 Variations Since Period 2

This is a new tariff for Period 3

3.6.6 Future Variations

This tariff will be made available to all residential customers from Period 4.

3.7 LV General Business Time of Use Tariff (N13b)

3.7.1 Terms and Conditions

MSATS Code: AUBUSTOU

This Network Tariff is applicable to all qualifying sites that are connected to the Aurora distribution network on or after 1 July 2009. Existing qualifying sites may transfer to this Network tariff on or after 1 July 2010. Existing qualifying sites already on the Network Tariff at 1 July 2010, may remain on this tariff.

A site qualifies for this Network Tariff if the installation is:

- currently supplied under the Aurora Retail Business Time of Use Contract; or
- registered as an Aged Care facility on or after 1 July 2009; or
- a business that qualifies as a contestable site in accordance with the Contestable Customer Regulations.

There are no restrictions on the use for the supply.

A site that is supplied under this tariff may not move to Network Tariffs N02, N02a or N02b.

A meter capable of recording time of use data is required for installations on this tariff.

The Use of System charges applicable for this tariff is composed of the following charging components:

- a) DUOS
 - i) A fixed daily charge; and
 - ii) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 17.
- b) TUOS
 - i) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 17.
- c) Metering
 - i) A charge for the provision of metering services may apply, depending upon whether or not Aurora is appointed as Metering Provider.

For connection on this tariff, water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and

- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

3.7.2 ToU Time Periods

Table 17: Time Periods for General Business ToU Tariff

Time Period	Tariff Rate
Week Day (0700 – 2200) (Monday – Friday)	Peak
Weekend Day (0700 – 2200) (Saturday & Sunday)	Shoulder
Any Day (2200 – 0700) (Monday – Sunday)	Off-peak

3.7.3 Rates

Table 18: Proposed Tariff Rates and Charges for N13b

N13b	Period 3
DUoS Charge	
Daily Charge (c/day)	35.812
Peak Energy (c/kWh)	6.501
Shoulder Energy (c/kWh)	4.037
Off-Peak Energy (c/kWh)	0.343
TUoS Charge	
Peak Energy (c/kWh)	2.498
Shoulder Energy (c/kWh)	1.696
Off-Peak Energy (c/kWh)	0.494
Meter Charge	
Daily Charge (c/day)	14.189
Total Charge (NUoS)	
Daily Charge (c/day)	50.001
Peak Energy (c/kWh)	8.999
Shoulder Energy (c/kWh)	5.733
Off-Peak Energy (c/kWh)	0.837

3.7.4 Estimated Volumes and Revenues

Table 19: Forecast Installation Numbers, Loads and Revenues for N13b

N13b	Period 3
Forecast Installation Numbers	
Customer (installation) days in period	15,707
Forecast Loads	
Peak Energy (kWh)	5,252,704
Shoulder Energy (kWh)	9,673,086
Off-Peak Energy (kWh)	12,882,852
Expected Revenue	
Daily Charge	\$7,853
Peak Energy	\$472,691
Shoulder Energy	\$554,558
Off-Peak Energy	\$107,829
Total	\$1,142,932

3.7.5 Variations Since Period 2

This is a new tariff for Period 3

3.7.6 Future Variations

This tariff will be made available to all commercial customers from Period 4.

3.8 *LV Uncontrolled Energy (N05)*

3.8.1 Terms and Conditions

MSATS Code AUHEATUNCO

3.8.1.1 General Conditions

This tariff is for low voltage installations.

In installations that are private residential dwellings, this tariff:

- is for water heating and/or residential space heating and/or domestic indoor pool heating only.
- may only be used if the premises also has a current connection on tariff N01.

In installations that are not private residential dwellings, this tariff:

- is for water heating only.
- may only be used if the premises also has a current connection on Network Tariff N02 or N02a.

With the exception of thermal-storage space heaters or thermal-storage water heaters, this tariff N05 may not be applied to any apparatus also connected under another Network Tariff.

A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

A Type 6 meter is the minimum required for installations on this tariff.

3.8.1.2 Requirements of Water Heating Systems

In installations that are private residential dwellings, for connection on this tariff, the water heating systems must:

- comply with Australian Standard 1056, Storage Water Heaters; and
- if the delivery rating of the water heating system is less than or equal to 500 litres, have an electric heating unit rating not exceeding 16 Watts per litre; or
- if the delivery rating of the water heating system is greater than 500 litres, have an electric heating unit rating not exceeding 32 Watts per litre.

Where a private residential installation has a water storage heater installed, and the delivery rating is greater than 20 litres but less than 100 litres, the limit of 16 Watts per litre may be exceeded by that individual water storage heater. Only one water storage unit, with a delivery rating between 20 and 100 litres that exceeds the 16 Watts per litre may be installed at a private residential dwelling.

In installations that are not private residential dwellings, for connection on this tariff, the water heating systems must:

- comply with Australian Standard 1056, Storage Water Heaters; and

- if the delivery rating of the water heating system is less than or equal to 500 litres, have an electric heating unit rating not exceeding 16 Watts per litre; or
- if the delivery rating of the water heating system is greater than 500 litres, have an electric heating unit rating not exceeding 32 Watts per litre.

Where a non-private residential installation has two or more water storage heaters installed, and the combined delivery rating is greater than 500 litres, the limit of 32 Watts per litre may be exceeded by an individual water storage heater provided that the ratio of the total wattage of all the water heating units to the total delivery rating does not exceed 32 Watts per litre.

Dairy water heaters containing main and booster heating units may have both heating units connected under this tariff.

Dairy water heaters are not required to comply with the Australian Standard 1056.

The electric heating unit ratings do not apply to Dairy water heaters.

3.8.1.3 Requirements of Residential Space Heating Systems

Permanently installed wired-in electric heater(s) may be eligible with this tariff on condition that the wiring of any electric heater is installed by a registered electrician in accordance with AS 3000 wiring rules and associated regulations and acts, and one of the following conditions are met:

- 1) If a residence has a permanently installed wired-in electric heater with an output of 3.5 kW in a living area, on a single functional switch then this, and any additional permanently wired space heaters throughout the residence, may be installed on this tariff.
- 2) A total rating of at least 5 kW of the same heating system installed throughout the residence. This heating system must be the priority heating system of the main living area and must have a single functional switch in each heated area throughout the residence. However where a ducted heating system is installed, the control switch must be located near the heating unit in order to qualify for this tariff.
- 3) Heating in secondary areas such as bedrooms and hallways if the residence has Off Peak storage heating in the living area(s) as its priority source of heating. The secondary heating system should be a permanently connected single propriety heating system with a total of 5 kW or more heating capacity.

3.8.1.4 Requirements of Domestic Indoor Pool Heating Systems

Private domestic indoor swimming pools are allowed under Tariff N05 if an installation:

- a. complies with the residential space heating system rules as provided above; and
- b. has an electrical input power limit of 400 watt/m² of surface area.

This tariff will be applied following an electrical works request to Aurora from an electrical contractor. Upon receipt of the electrical works request, the tariff will be applied to a customer's account from the date the meter was changed or the day after the last quarterly read, which ever is the later.

Spas are not eligible for Network Tariff N05

3.8.2 Rates

Table 20: Proposed Tariff Rates and Charges for N05

N05	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	3.581	3.708	-3.43%
All Energy (c/kWh)	1.345	1.233	9.08%
TUoS Charge			
All Energy (c/kWh)	1.749	1.666	4.98%
Meter Charge			
Daily Charge (c/day)	7.614	7.327	3.92%
Total Charge (NUoS)			
Daily Charge (c/day)	11.195	11.035	1.45%
All Energy (c/kWh)	3.094	2.899	6.73%

3.8.3 Estimated Volumes and Revenues

Table 21: Forecast Installation Numbers, Loads and Expected Revenues for N05

N05	Period 3	Period 2
Forecast Installation Numbers		
Customer (installation) days in period	60,147,303	64,962,883
Forecast Loads		
All Energy (kWh)	866,711,228	901,810,178
Expected Revenue		
Daily Charge	\$6,733,491	\$7,168,654
All Energy	\$26,816,045	\$26,143,477
Total	\$33,549,536	\$33,312,131

3.8.4 Variations Since Period 2

The rates for this tariff were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.8.5 Future Variations

Aurora intends to introduce an LV ToU tariff for all customers in Period 4. It is envisaged that customers currently on N05 will be transferred, in due course, to this new tariff, which will provide benefits to those customers who can manage their load. Network Tariff N05 will be made Obsolete after 1 July 2010.

Aurora will consult with interested parties prior to making a final decision on the potential obsolescence of this tariff in Period 4.

3.9 LV Controlled Heating (N06)

3.9.1 Terms and Conditions

MSATS Code AUHEATCONT

3.9.1.1 General Conditions

This tariff is for low voltage installations.

In installations that are private residential dwellings, this tariff:

- is for water heating and/or residential space heating and/or other “wired in” appliances as approved by Aurora Network.
- may be used for heating swimming pools, including those that incorporate a spa. Note that an individual spa from which the water goes to waste after use may not be connected on this tariff.
- may only be used if the premises also has a current connection on tariff N01.

In installations that are not private residential dwellings, this tariff:

- is for water heating and/or space heating and/or other “wired in” appliances as approved by Aurora Network.
- may only be used if the premises also has a current connection on Network Tariff N02, N02a.

With the exception of thermal-storage space heaters or thermal-storage water heaters, this tariff N06 may not be applied to any apparatus also connected under another Network Tariff.

A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

In all installations, this tariff N06 may not be used for circuits supplying general purpose outlets, other than existing outlets supplied on this tariff.

A Type 6 meter is the minimum required for installations on this tariff.

3.9.1.2 Time of Use Availability

This tariff is a “time of use” tariff. Energy to installations connected on this tariff will be available daily for:

- at least nine hours between 20:00 hours and 07:00 hours the following day; and
- a further two hours between 13:00 hours and 16:30 hours.

Aurora Network will choose the actual times during these periods that the energy will be available.

3.9.1.3 Requirements of Water Heating Systems

In installations that are private residential dwellings, for connection on this tariff, the water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and

- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

In installations that are not private residential dwellings, for connection on this tariff, the water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and
- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

3.9.2 Rates

Table 22: Proposed Tariff Rates and Charges for N06

N06	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	7.032	6.490	8.35%
All Energy (c/kWh)	0.343	0.314	9.24%
TUoS Charge			
All Energy (c/kWh)	0.494	0.470	5.11%
Meter Charge			
Daily Charge (c/day)	7.813	7.528	3.79%
Total Charge (NUoS)			
Daily Charge (c/day)	14.845	14.018	5.90%
All Energy (c/kWh)	0.837	0.784	6.76%

3.9.3 Estimated Volumes and Revenues

Table 23: Forecast Installation Numbers, Loads and Expected Revenues for N06

N06	Period 3	Period 2
Forecast Installation Numbers		
Customer (installation) days in period	11,641,515	9,948,258
Forecast Loads		
All Energy (kWh)	115,838,440	144,012,660
Expected Revenue		
Daily Charge	\$1,728,183	\$1,394,547
All Energy	\$969,568	\$1,129,059
Total	\$2,697,751	\$2,523,606

3.9.4 Variations Since Period 2

The rates for this tariff were increased in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.9.5 Future Variations

Aurora intends to introduce an LV ToU tariff for all customers in Period 4. It is envisaged that customers currently on N06 will be transferred, in due course, to this new tariff, which will provide benefits to those customers who can manage their load. Network Tariff N06 will be made Obsolete after 1 July 2010.

Aurora will consult with interested parties prior to making a final decision on the potential obsolescence of this tariff in Period 4.

3.10 LV Controlled Heating (N06a)

3.10.1 Terms and Conditions

MSATS Code AUOFFPEAK

3.10.1.1 General Conditions

This tariff is for low voltage installations.

In installations that are private residential dwellings, this tariff:

- is for water heating and/or residential space heating and/or other circuits as approved by Aurora Network.
- may be used for heating swimming pools, including those that incorporate a spa. Note that an individual spa from which the water goes to waste after use may not be connected on this tariff.
- may only be used if the premises also has a current connection on tariff N13r.

In installations that are not private residential dwellings, this tariff:

- is for water heating and/or space heating and/or other circuits as approved by Aurora Network.
- may only be used if the premises also has a current connection on Network Tariff N13b.

A private residential dwelling is a house, flat, home unit, town house or similar qualifying residential premise.

In all installations, this tariff N06a may be used for circuits supplying general purpose outlets.

A Type 6 meter is the minimum required for installations on this tariff.

3.10.1.2 Time of Use Availability

This tariff is a “time of use” tariff. Energy to installations connected on this tariff will be available between 22:00 hours and 07:00 hours the following day.

3.10.1.3 Requirements of Water Heating Systems

In installations that are private residential dwellings, for connection on this tariff, the water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and
- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

In installations that are not private residential dwellings, for connection on this tariff, the water heating systems:

- must comply with Australian Standard 1056, Storage Water Heaters; and

- should comply with approved Australian Standards AS 3500.4.1 - 1997 and 3500.4.2:1997, National Plumbing and Drainage Code, Part 4 Hot Water Supply Systems and all amendments; non-compliant systems may be refused connection or disconnected.

3.10.2 Rates

Table 24: Proposed Tariff Rates and Charges for N06a

N06a	Period 3
DUoS Charge	
Daily Charge (c/day)	7.032
All Energy (c/kWh)	0.326
TUoS Charge	
All Energy (c/kWh)	0.469
Meter Charge	
Daily Charge (c/day)	7.813
Total Charge (NUoS)	
Daily Charge (c/day)	14.845
All Energy (c/kWh)	0.795

3.10.3 Estimated Volumes and Revenues

Table 25: Forecast Installation Numbers, Loads and Expected Revenues for N06a

N06a	Period 3
Forecast Installation Numbers	
Customer (installation) days in period	0.00
Forecast Loads	
All Energy (kWh)	0.00
Expected Revenue	
Daily Charge	\$0.00
All Energy	\$0.00
Total	\$0.00

3.10.4 Variations Since Period 2

This is a new tariff for Period 3

3.10.5 Future Variations

This tariff will be made available to all customers on tariffs N13r and N13b.

3.11 LV Demand – kW (N03) - Obsolete

MSATS Code AUBLVDMKW

3.11.1 Terms and Conditions

This tariff is for installations taking LV 3-phase supply.

There are no restrictions on the use of the supply (i.e. may be used for general power, heating, water heating, etc.).

This tariff is Obsolete with no new connections allowed. The replacement LV demand tariff is N09.

Note that customers that choose to transfer off any one Obsolete tariff for an installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

A Type 6 meter is the minimum required for installations on this tariff.

3.11.2 Rates

Table 26: Proposed Tariff Rates and Charges for N03

N03	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	188.752	109.931	71.70%
All Energy Charge (c/kWh)	1.628	1.647	-1.15%
First 250kW demand (c/kW/day)	28.515	33.352	-14.50%
Additional Demand (c/kW/day)	25.704	27.204	-5.51%
TUoS Charge			
All Energy Charge	0.746	0.731	2.05%
First 250kW demand (c/kW/day)	20.406	12.171	67.66%
Additional Demand (c/kW/day)	18.389	9.928	85.22%
Meter Charge			
Daily Charge (c/day)	14.188	13.740	3.26%
Total Charge (NUoS)			
Daily Charge (c/day)	202.940	123.671	64.10%
All Energy Charge (c/kWh)	2.374	2.378	-0.17%
First 250kW demand (c/kW/day)	48.921	45.523	7.46%
Additional Demand (c/kW/day)	44.093	37.132	18.75%

3.11.3 Estimated Volumes and Revenues

Table 27: Forecast Installation Numbers, Loads and Expected Revenue for N03

N03	Period 3	Period 2
Forecast Installation Numbers		
Customer (installation) days in period	125,276	155,490
Forecast Loads		
All Energy (kWh)	120,509,624	206,171,285
First 250kW Demand (kW days)	8,350,013	14,543,802
Additional Demand (kW days)	5,078,330	6,028,081
Expected Revenue		
Daily Charge	\$254,235	\$192,296
All Energy	\$2,860,898	\$4,902,753
First 250kW Demand	\$4,084,910	\$6,620,775
Additional Demand	\$2,239,188	\$2,238,347
Total	\$9,439,232	\$13,954,172

3.11.4 Variations Since Period 2

The rates for this tariff were varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

The daily charge for this tariff has increased significantly to ensure consistency with Network Tariff N09 as connections at N03 and N09 are the same in nature, being an LV demand tariff. Connection assets to service a 500kW installation will be identical to those utilised to connect a 500kVA installation; it is only the measure of demand that is different.

Consistency with N09 and the subsequent rebalancing of the costs between DUoS and TUoS has resulted in a reduction in DUoS charges but a large increase in TUoS charges. The overall impact on NUoS charges is consistent with the strategy presented in Section 5.1 of this Pricing Proposal.

3.11.5 Future Variations

Aurora intends to transition all existing installations on this tariff to Network Tariff N09. This accords with the NTS (Section 6.4), and was proposed in the 2005 Report (Section 6.1). Aurora will work with affected customers to minimise the impacts due to transferral.

Network Tariff LV kW Demand N09 will be deleted from the suite of tariffs and consequently will not be available after 1 July 2012.

3.12 LV Metered Demand (kVA) Tariff (N09)

3.12.1 Terms and Conditions

MSATS Code AUBLVDMKVA

This tariff is only for installations taking LV 3-phase supply.

There are no restrictions on the use of the supply; that is, electricity taken on this tariff may be used for general power, heating, water heating, etc.

A Type 6 meter is the minimum required for installations on this tariff.

3.12.2 Rates

Table 28: Proposed Tariff Rates and Charges for N09

N09	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	174.770	168.534	3.70%
All Energy Charge (c/kWh)	1.507	1.381	9.12%
First 250kVA Demand (c/kVA/day)	22.442	20.570	9.10%
Additional Demand (c/kVA/day)	20.230	18.543	9.10%
TUoS Charge			
All Energy Charge (c/kWh)	0.691	0.658	5.02%
First 250kVA Demand (c/kVA/day)	16.060	15.295	5.00%
Additional Demand (c/kVA/day)	14.473	13.784	5.00%
Meter Charge			
Daily Charge (c/day)	14.188	13.740	3.26%
Total Charge (NUoS)			
Daily Charge (c/day)	188.958	182.274	3.67%
All Energy Charge (c/kWh)	2.198	2.039	7.80%
First 250kVA Demand (c/kVA/day)	38.502	35.865	7.35%
Additional Demand (c/kVA/day)	34.703	32.327	7.35%

3.12.3 Estimated Volumes and Revenues

Table 29: Forecast Installation Numbers, Loads and Expected Revenues for N09

N09	Period 3	Period 2
Forecast Installation Numbers		
Customer (installation) days in period	196,654	134,320
Forecast Loads		
All Energy (kWh)	449,288,183	359,996,061
First 250kVA Demand (kVA days)	27,710,940	23,053,263
Additional Demand (kVA days)	14,485,814	11,647,018
Expected Revenue		
Daily Charge	\$371,593	\$244,830
All Energy	\$9,875,354	\$7,340,320
First 250kVA Demand	\$10,669,266	\$8,268,053
Additional Demand	\$5,027,012	\$3,765,131
Total	\$25,943,226	\$19,618,335

3.12.4 Variations Since Period 2

The rates for this tariff were generally varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.12.5 Future Variations

Aside from variations due to allowable adjustments in AARR and rebalancing between revenues collected from each tariff class and between fixed and variable costs, no changes are planned to this tariff. Aurora does plan to introduce an LV ToU tariff during this regulatory period, which may provide an attractive alternative to this tariff N09. In the event that changes are to be implemented, Aurora will undertake a public consultation in line with the Network Tariff Strategy.

3.13 LV Day/Night (Irrigation) Tariff (N08)

3.13.1 Terms and Conditions

MSATS Code AUIRRIG

This Network Tariff is for primary producers' business installations that are used solely for the irrigation of crops, which must be classified as ANZSIC class 01.

A Type 6 meter is the minimum required for installations on this tariff.

This tariff is Obsolete; no new connections are allowed on this tariff after 1 July 2009.

Existing sites that are connected on Network Tariff N08 at 1 July 2009 may remain on that tariff.

Customers who choose to transfer off any one Obsolete tariff for and installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available tariffs.

3.13.2 Time of Use Availability

This tariff is a simple "time of use" tariff, with different rates for "peak" and "off-peak" consumption.

The off-peak rate will be available daily for not less than ten hours between 20:00 hours and 07:00 hours the following day. In general, the "window" will be of 10 hour's duration. Subject to network constraints and at the discretion of Aurora, an 11 hour window may be available upon request.

To provide a "staggered start" to ensure distribution network stability, the off-peak window for individual customers will start between 20:00 and 21:00, and end between 06:00 and 07:00 the following day.

Aurora will arrange the start and finish times.

All times are in Australian Eastern Standard Time.

3.13.3 Rates

Table 30: Proposed Tariff Rates and Charges for N08

N08	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	172.092	165.952	3.70%
Day Energy Charge (c/kWh)	8.175	8.223	-0.58%
Night Energy Charge (c/kWh)	0.343	1.119	-69.35%
TUoS Charge			
Day Energy Charge (c/kWh)	3.291	2.281	44.28%
Night Energy Charge (c/kWh)	0.494	0.570	-13.33%
Meter Charge			
Daily Charge (c/day)	13.857	13.412	3.32%
Total Charge (NUoS)			
Daily Charge (c/day)	185.949	179.364	3.67%
Day Energy Charge (c/kWh)	11.466	10.504	9.16%
Night Energy Charge (c/kWh)	0.837	1.689	-50.44%

3.13.4 Estimated Volumes and Revenues

Table 31: Forecast Installation Numbers, Loads and Expected Revenues for N08

N08	Period 3	Period 2
Forecast Installation Numbers		
Customer (installation) days in period	1,121,736	999,188
Forecast Loads		
Day Energy (kWh)	44,644,161	40,162,442
Night Energy (kWh)	63,899,194	57,484,510
Expected Revenue		
Daily Charge	\$2,085,857	\$1,792,183
Day Energy	\$5,118,899	\$4,218,663
Night Energy	\$534,836	\$970,913
Total	\$7,739,593	\$6,981,759

3.13.5 Variations Since Period 2

The rates for this tariff were generally varied in line with the strategy presented in Section 5.1 of this Pricing Proposal. The daily charge of the DUoS component was increased at a lower rate to provide more cost reflectivity.

This tariff has been made Obsolete with the introduction of a suitable LV ToU Irrigation Network Tariff (N08a).

3.13.6 Future Variations

Aurora has introduced an LV ToU Irrigation tariff (N08a) and other kVA demand tariffs for Period 3. These demand management incentive Network Tariffs will provide an attractive alternative to the current N08. The currently available LV Metered Demand (kVA) tariff N09 may also be a viable alternative to this tariff N08 depending upon individual user's usage patterns.

Network Tariff LV Day/Night (Irrigation) N08 will be deleted from the suite of tariffs and consequently will not be available after 1 July 2012.

3.14 LV Time of Use Irrigation Tariff (N08a)

3.14.1 Terms and Conditions

MSATS Code: AUTOUIRR.

This Network Tariff is applicable to all qualifying sites that are connected to the Aurora distribution network on or after 1 July 2009. Existing qualifying sites may transfer to this Network tariff on or after 1 July 2009

This Network Tariff is for primary producers' business installations that are used solely for the irrigation of crops, which must be classified as ANZSIC class 01.

A meter capable of recording time of use data is required for installations on this tariff.

The Use of System charges applicable for this tariff is composed of the following charging components:

- a) DUOS
 - i) A fixed daily charge; and
 - ii) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 32.
- b) TUOS
 - i) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 32.
- c) Metering
 - i) A charge for the provision of metering services may apply, depending upon whether or not Aurora is appointed as Metering Provider

Table 32: Time Periods for Irrigation Tariff

Time Period	Summer (1 Oct - 31 Mar)	Winter (1 Apr - 30 Sep)
Week Day (0800 – 2200) (Monday – Friday)	Shoulder	Peak
Weekend Day (0800 – 2200) (Saturday & Sunday)	Off-peak	Shoulder
Any Day (2200 – 0800) (Monday – Sunday)	Off-peak	Off-peak

3.14.2 Rates

Table 33: Proposed Tariff Rates and Charges for N08a

N08a	Period 3
DUoS Charge	
Daily Charge (c/day)	155.550
Peak Energy (c/kWh)	8.175
Shoulder Energy (c/kWh)	5.042
Off-Peak Energy (c/kWh)	0.343
TUoS Charge	
Peak Energy (c/kWh)	3.291
Shoulder Energy (c/kWh)	2.162
Off-Peak Energy (c/kWh)	0.469
Meter Charge	
Daily Charge (c/day)	14.189
Total Charge (NUoS)	
Daily Charge (c/day)	169.739
Peak Energy (c/kWh)	11.466
Shoulder Energy (c/kWh)	7.204
Off-Peak Energy (c/kWh)	0.812

3.14.3 Estimated Volumes and Revenues

Table 34: Forecast Installation Numbers, Loads and Revenues for N08a

N08a	Period 3
Forecast Installation Numbers	
Customer (installation) days in period	59,039
Forecast Loads	
Peak Energy (kWh)	1,073,173
Shoulder Energy (kWh)	1,902,949
Off-Peak Energy (kWh)	2,736,686
Expected Revenue	
Daily Charge	\$100,212
Peak Energy (kWh)	\$123,050
Shoulder Energy (kWh)	\$137,088
Off-Peak Energy (kWh)	\$22,222
Total	\$382,572

3.14.4 Variations Since Period 2

This is a new tariff for Period 3

3.14.5 Future Variations

Aside from changes in rates due to variations of the type discussed in Section 4, there are no planned changes to this tariff.

3.15 LV Small Unmetered (N07)

3.15.1 Terms and Conditions

MSATS Code AUUMS

This tariff is for small, LV, low demand installations with a relatively constant load profile. For example:

- illuminated street signs;
- public telephone kiosks;
- electric fences;
- two-way radio transmitters;
- fixed steady wattage installations;
- traffic lights; and
- level crossings.

All installations on this tariff must have all components permanently connected. For the avoidance of doubt, an installation containing a power point does not qualify for this Network Tariff.

Exception: Shows & public functions qualify for this tariff N07. Shows and public functions on this tariff may have installed power points.

3.15.2 Rates

Table 35: Proposed Tariff Rates and Charges for N07

N07	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	26.859	25.901	3.70%
All Energy Charge (c/kWh)	11.589	10.622	9.10%
TUoS Charge			
All Energy Charge (c/kWh)	2.051	1.953	5.02%
Total Charge (NUoS)			
Daily Charge (c/day)	26.859	25.901	3.70%
All Energy Charge (c/kWh)	13.640	12.575	8.47%

3.15.3 Estimated Volumes and Revenues

Table 36: Forecast Installation Numbers, Loads and Expected Revenues for N07

N07	Period 3	Period 2
Forecast Installation Numbers		
Customer (installation) days in period	388,695	144,905
Forecast Loads		
All Energy (kWh)	431,713	382,401
Expected Revenue		
Daily Charge	\$104,400	\$37,531
All Energy	\$58,886	\$48,087
Total	\$163,285	\$85,618

3.15.4 Variations Since Period 2

The components within this tariff were varied with the strategy presented in Section 5.1 of this Pricing Proposal.

3.15.5 Future Variations

Aside from changes in rates due to variations of the type discussed in Section 4, there are no planned changes to this tariff.

3.16 HV Demand kW (N11) – Obsolete

3.16.1 Terms and Conditions

MSATS Code AUBHVDMKW

This tariff is for customers taking HV supply.

There are no restrictions on the use of the supply.

The customer must supply its own transformers & switchgear for installations connected on this tariff.

Metering of consumption is at the HV connection point.

This tariff is Obsolete; no new connections are allowed on this tariff.

Customers who choose to transfer off any one Obsolete tariff for an installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available published tariffs.

3.16.2 Rates

Table 37: Proposed Tariff Rates and Charges for N11

N11	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	129.298	104.846	23.32%
All Energy Charge (c/kWh)	0.102	0.097	5.15%
Demand Charge (c/kW/day)	26.226	23.937	9.56%
TUoS Charge			
All Energy Charge (c/kWh)	1.140	1.053	8.26%
Monthly Demand Charge (c/kW/day)	2.044	1.603	27.51%
Meter Charge			
Daily Charge (c/day)	61.394	59.979	2.36%
Total Charge (NUoS)			
Daily Charge (c/day)	190.692	164.825	15.69%
All Energy Charge (c/kWh)	1.242	1.150	8.00%
Monthly Demand Charge (c/kW/day)	28.270	25.540	10.69%

3.16.3 Estimated Volumes and Revenues

Table 38: Forecast Installation Numbers, Loads and Expected Revenues for N11

N11	Period 3	Period 2
Forecast Installation Numbers		
Customer (installation) days in period	6,570	9,125
Forecast Loads		
All Energy (kWh)	20,754,980	113,389,065
Demand (kW days)	758,653	8,888,582
Expected Revenue		
Daily Charge	\$12,528	\$15,040
All Energy	\$257,777	\$1,303,974
Demand	\$214,471	\$2,270,144
Total	\$484,776	\$3,589,158

3.16.4 Variations Since Period 2

The rates for this tariff were varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.16.5 Future Variations

This tariff is Obsolete, as discussed in Sections 6.3 & 6.4 of the NTS.

Over the course of this Regulatory period, Aurora intends to transition installations on this tariff to either N10 or the HV Specified Demand Tariff.

Network Tariff HV kW Demand (N11) will be deleted from the suite of tariffs and consequently will not be available after 1 July 2012.

3.17 HV Demand kVA (N10) - Obsolete

3.17.1 Terms and Conditions

MSATS Code AUBHCDMKVA

This tariff is for customers taking HV 3-phase supply.

There are no restrictions on the use of the supply; that is, the electricity may be used for general power, heating, water heating, etc.

The customer must supply its own transformers & switchgear for installations connected on this tariff.

Metering of consumption is at the HV connection point.

This tariff is Obsolete; no new connections are allowed on this tariff.

Existing sites not connected on Network Tariff N10 at or after 1 July 2009 may not be connected using this tariff.

Customers who choose to transfer off any one Obsolete tariff for an installation will lose all rights to all Obsolete tariffs for that installation, i.e. the entire installation will be required to move to currently available tariffs.

NOTE: To avoid equity issues as a result of this change, and to avoid confusion, the following approaches will be used by Aurora:

- Contributions already billed assuming N10 will be unchanged;
- Contributions calculated but not billed will be recalculated and billed at the lesser of N10 or new tariff;
- For Period 3, if customers connecting after 1 July 2009 with existing negotiations using N10 are worse off under the new tariff, they may remain on N10.

3.17.2 Rates

Table 39: Proposed Tariff Rates and Charges for N10

N10	Period 3	Period 2	% Change
DUoS Charge			
Daily Charge (c/day)	119.720	115.448	3.70%
All Energy Charge (c/kWh)	0.094	0.086	9.30%
Monthly Demand Charge (c/kVA/day)	20.641	18.919	9.10%
TUoS Charge			
All Energy Charge (c/kWh)	1.056	1.006	4.97%
Monthly Demand Charge (c/kVA/day)	1.609	1.532	5.03%
Meter Charge			
Daily Charge (c/day)	61.394	59.979	2.36%
Total Charge (NUoS)			
Daily Charge (c/day)	181.114	175.427	3.24%
All Energy Charge (c/kWh)	1.150	1.092	5.31%
Monthly Demand Charge (c/kVA/day)	22.250	20.451	8.80%

3.17.3 Estimated Volumes and Revenues

Table 40: Forecast Installation Numbers, Loads and Revenues for N10

N10	Period 3	Period 2
Forecast Installation Numbers		
Customer (installation) days in period	24,861	22,813
Forecast Loads		
All Energy (kWh)	188,953,152	376,171,155
Demand (kVA days)	18,586,022	27,331,812
Expected Revenue		
Daily Charge	\$45,026	\$40,019
All Energy	\$2,172,961	\$4,107,789
Demand	\$4,135,390	\$5,589,629
Total	\$6,353,377	\$9,737,437

3.17.4 Variations Since Period 2

The rates for this tariff were varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.17.5 Future Variations

This tariff is Obsolete as discussed in Sections 6.3 & 6.4 of the NTS Aurora has introduced a new HV ToU (N10s) and HV Specified Demand tariffs, with a long-term aim of replacing this tariff. For more discussion of this, see Sections 6.3 & 6.4 of the NTS.

Network Tariff HV kVA Demand (N10) will be deleted from the suite of tariffs and consequently will not be available after 1 July 2012.

3.18 HV Specified Demand with Time of Use Tariff (N10s)

3.18.1 The Terms and Conditions.

MSATS Code: AUHVSPECDM.

This Network Tariff is applicable to all qualifying sites that are connected to the Aurora distribution network on or after 1 July 2009. Existing qualifying sites may transfer to this Network tariff on or after 1 July 2009.

A site qualifies for this Network Tariff if:

- connection is made to this site at HV; and
- the expected ATMD of the site is less than 2 MVA.

A site connected to the Aurora distribution network with this Network Tariff is not eligible for any other Network Tariff.

A meter capable of recording “interval data” is required for installations on this tariff.

The Use of System charges applicable for this tariff is composed of the following charging components:

a) DUOS

- i) A fixed daily charge; and
- ii) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 41; and
- iii) A demand-based charge calculated according to the method given in the General Terms and Conditions for Network Tariffs for the calculation of charges for Specified Demand tariffs. For the purposes of this calculation, the Excess Demand rate is ten times the Specified Demand rate.

b) TUOS

- i) An energy-based charge; the rate of the energy charge varies according to the time of day at which energy is consumed, with the periods being as identified in Table 41.
- ii) A demand-based charge calculated according to the method given in the General Terms and Conditions for Network Tariffs for the calculation of charges for Specified Demand tariffs. For the purposes of this calculation, the Excess Demand rate is ten times the Specified Demand rate.

c) Metering

- i) A charge for the provision of metering services may apply, depending upon whether or not Aurora is appointed as Metering Provider.

Table 41: Time Periods within Specified Demand Tariffs

Time Period	Summer (1 Oct - 31 Mar)	Winter (1 Apr - 30 Sep)
Week Day (0700 – 2200) (Monday – Friday)	Shoulder	Peak
Weekend Day (0700 – 2200) (Saturday & Sunday)	Off-peak	Shoulder
Any Day (2200 – 0700) (Monday – Sunday)	Off-peak	Off-peak

3.18.2 Rates

Table 42: Proposed Tariff Rates and Charges for N10s

N10s	Period 3
DUoS Charge	
Daily Charge (c/day)	119.720
Peak Energy Charge (c/kWh)	0.085
Shoulder Energy Charge (c/kWh)	0.068
Off-Peak Energy Charge (c/kWh)	0.042
Specified Demand Charge (c/kVA/day)	15.480
Excess Demand Charge (c/kVA/day)	154.800
TUoS Charge	
Peak Energy Charge (c/kWh)	0.951
Shoulder Energy Charge (c/kWh)	0.759
Off-Peak Energy Charge (c/kWh)	0.470
Specified Demand Charge (c/kVA/day)	1.206
Excess Demand Charge (c/kVA/day)	12.060
Meter Charge	
Daily Charge (c/day)	0.000
Total Charge (NUoS)	
Daily Charge (c/day)	119.720
Peak Energy Charge (c/kWh)	1.036
Shoulder Energy Charge (c/kWh)	0.827
Off-Peak Energy Charge (c/kWh)	0.512
Specified Demand Charge (c/kVA/day)	16.686
Excess Demand Charge (c/kVA/day)	166.860

3.18.3 Estimated Volumes and Revenues

Table 43: Forecast Installation Numbers, Loads and Expected Revenues for N10s

N10s	Period 3
Forecast Installation Numbers	
Customer (installation) days in period	1,825
Forecast Loads	
Peak Energy (kWh)	6,060,023
Shoulder Energy (kWh)	11,159,798
Off-Peak Energy (kWh)	14,862,893
Specified Demand (kVA days)	1,820,417
Excess Demand (kVA days)	
Expected Revenue	
Daily Charge	\$2,185
Peak Energy	\$62,782
Shoulder Energy	\$92,292
Off-Peak Energy	\$76,098
Specified Demand	\$303,755
Excess Demand	\$0
Total	\$537,111

3.18.4 Variations Since Period 2

This is a new tariff for Period 3

3.18.5 Future Variations

Aside from changes in rates due to variations of the type discussed in Section 4, there are no planned changes to this tariff.

3.19 HV Specified Demand, > 2MVA (N15)

3.19.1 Terms and Conditions

MSATS Code AUCHVDM2

This tariff applies to contestable customers, with a demand in excess of 2 MVA, supplied directly from the Aurora distribution network, with no Aurora Network-owned assets beyond the connection point.

Qualifying customers who become contestable under the Electricity Supply Industry (Contestable Customer) Regulations 2005 will move to this tariff.

The customer must supply its own transformers & switchgear for installations connected on this tariff.

Metering of consumption is at the HV connection point.

3.19.1.1 Negotiation of “Specified Demand”

Customers on Network Tariff N15 are able to agree with Aurora a “Specified Demand” for their electrical installation.

Once agreed this value is used in the calculation of NUoS charges for the following period of no less than twelve months.

Negotiation of “Specified Demand” for subsequent periods should be completed at least two months prior to the end of the last negotiated period.

Renegotiation of specified demand is limited to one occurrence each twelve months or as otherwise agreed with Aurora.

3.19.2 Rates

Table 44: Proposed Tariff Rates and Charges for N015

N15	Period 3	Period 2	% Change
DUoS			
Daily Charge (\$/day)	16.208	15.630	3.70%
Specified Demand Charge (c/kVA/day)	7.725	7.081	9.09%
Excess Demand Charge (c/kVA/day)	38.625	21.244	81.82%
Peak Energy Charge (c/kWh)	1.216	1.126	7.99%
Shoulder Energy (c/kWh)	0.329	0.305	7.87%
Off-Peak Energy (c/kWh)	0.042	0.039	7.69%
Connection			
Specified Demand Charge (c/kVA/day)	0.280	0.257	8.95%
Excess Demand Charge (c/kVA/day)	1.400	0.772	81.35%
Meter Charge (if applicable)			
Daily Charge (c/day)	0.000	59.979	
Transmission Charge			
Demand Charge (c/kVA/day)	nodal charge	nodal charge	
Excess Demand Charge (c/kVA/day)	3 x nodal charge	3 x nodal charge	

3.19.3 Estimated Volumes and Revenues

Table 45: Forecast Installations, Loads and Revenues for Tariff N15

N15	Period 3	Period 2
Forecast Installation Numbers		
Customer (installation) days in period	8,679	365
Forecast Loads		
Specified Demand (kVA days)	22,494,482	1,843,250
Excess Demand (kVA days)	24,493	61,442
Peak Energy (kWh)	37,957,798	6,045,790
Shoulder Energy (kWh)	69,900,954	7,254,949
Off-Peak Energy (kWh)	93,095,803	12,091,581
DUoS & Connection Expected Revenue		
Daily charge	\$140,667	\$5,705
Peak Energy	\$461,567	\$94,919
Shoulder Energy	\$229,974	
Off-Peak Energy	\$39,100	
Specified Demand Charge	\$1,800,683	\$135,258
Excess Demand Charge	\$9,803	\$13,527
Meter Revenue (if applicable)		
Daily Charge		\$219
Total Revenue	\$2,681,795	\$249,627

3.19.4 Variations Since Period 2

The rates for this tariff were varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

Aurora chose to alter its Specified Demand charging methodology for Period 3. The excess demand charges will be calculated on a daily rather than monthly basis. This approach, the premium rate is applied for a single day, rather than the entire billing period, usually a month.

3.19.5 Future Variations

Aside from changes in rates due to variations of the type discussed in Section 4, there are no planned changes to this tariff.

3.20 HV ITC Tariff

Individual Tariff Calculation Customer (ITC) network prices will typically apply to customers with an electrical demand in excess of 2.0 MVA, or where a customer's circumstances in a pricing zone identify the average shared network charge to be meaningless or distorted. Individually calculated customer network charges are determined by modelling the connection point requirements as requested by the customer or their agents.

ITC prices are based on actual Transmission Use of System (TUoS) charges for the relevant transmission connection point, plus charges associated with the actual shared distribution network utilised for the electricity supply, plus connection charges based on the actual connection assets utilised. This provides the greatest cost reflectivity for this type of customer and is feasible since the number of such customers is relatively small.

3.20.1 Terms and Conditions

Terms and conditions for these customers are contained within individually negotiated connection agreements.

3.20.2 Rates

Being negotiated between Aurora and individual customers, these are considered by Aurora to be "Commercial in Confidence". They are supplied to the Regulator in a separate attachment.

3.20.3 Variations

Any variations to customers on this tariff are the subject of individual negotiation.

3.20.4 Future Variations

Any variations to customers on this tariff are the subject of individual negotiation.

3.21 Street Lighting (N20)

3.21.1 Terms and Conditions

This tariff is available to councils and road authorities.

There are no energy charges.

This tariff does not include charges for the installation and/or replacement of lamps. Costs for installation or replacement of lamps are an additional charge. These charges are included in the final street lighting tariff.

3.21.2 Rates

Table 46: Proposed Tariff Rates and Charges for N20

N20	Period 3	Period 2	% Change
DUoS Charge			
Demand Charge (c/lamp watt/day)	0.074	0.068	8.82%
TUoS Charge			
Demand Charge (c/lamp watt/day)	0.027	0.026	3.85%
Total Charge (NUoS)			
Demand Charge (c/lamp watt/day)	0.101	0.096	5.21%

3.21.3 Estimated Volumes and Revenues

Table 47: Forecast Installation Numbers and Revenues

N20	Period 3	Period 2
Forecast Installation Numbers		
Forecast total lamp wattage (W)	2,024,853,697	1,957,025,489
Expected Revenue		
Demand charge	\$2,045,102	1,878,744

Note: Does not include charges for light fitting. These are contained in a separate charge for street lighting.

3.21.4 Variations

The rates for this tariff were varied in line with the strategy presented in Section 5.1 of this Pricing Proposal.

3.21.5 Future Variations

Aside from changes in rates due to variations of the type discussed in Section 4, there are no planned changes to this tariff.

3.22 Standard Transmission Charges

A number of customers, or groups of customers, may have a specially calculated tariff. As part of this tariff there will be a pass-through of the transmission charges arising from each customer's share of the load on the transmission system. These nodal connection charges are based upon demand, and vary according to the Transend terminal substation to which the customer is connected.

As discussed in Section 4.2 Aurora has estimated that transmission charges will increase by 13.9% for the 2009/10 financial year. Transend have only recently received their final Pricing Determination from the AER (which includes the pricing policy) and will not set charges for the provision of transmission services until 15 May 2009. Aurora has therefore shown the transmission charges that applied for the 2008/09 year for reference only. Aurora will release its 2009/10 transmission prices when they are available from Transend.

Table 48: Schedule of Transmission Charges 2008/09

Connection Site	TNI	Common Service Price (\$/MVA/mth)	TUoS General Charges (\$/MVA/mth)	TUoS Usage Price (\$/MVA/mth)	Monthly Exit Charges (\$/MVA/mth)	Total (\$/MVA/mth)
Arthurs Lake	TAL2	1,363.41	939.62	1,292.05	2,346.85	\$5,941.93
Avoca	TAV2	1,363.41	939.62	1,430.11	3,479.29	\$7,212.43
Bridgewater	TBW2	1,147.89	791.09	842.54	1,597.51	\$4,379.03
Burnie	TBU3	1,363.41	939.62	897.81	1,157.08	\$4,357.92
Chapel St	TCS3	1,233.50	850.09	814.74	1,697.80	\$4,596.13
Creek Rd	TCR3	1,299.82	895.80	832.24	832.56	\$3,860.42
Derby	TDE2	1,171.05	807.05	3,253.07	5,412.02	\$10,643.19
Derwent Bridge	TDB2	669.91	461.68	585.55	23,898.60	\$25,615.74
Devonport	TDP2	1,363.41	939.62	1,080.50	1,557.68	\$4,941.21
Electrona	TEL2	1,291.00	889.75	1,818.01	1,911.53	\$5,910.29
Emu Bay	TEB2	1,224.17	839.46	839.46	2,123.94	\$5,027.03
George Town	TGT3	1,363.41	939.62	758.64	3,972.22	\$7,033.89
Hadspen	THA3	1,318.00	908.33	737.58	574.60	\$3,538.51
Kermandie	TKE2	1,363.41	939.62	1,893.40	5,744.42	\$9,940.85
Kingston	TKI2	1,102.63	759.90	1,044.13	1,072.58	\$3,979.24
Knights Rd	TKR2	1,363.41	939.62	1,453.29	2,420.25	\$6,176.57
Lindisfarne	TLF2	1,203.21	829.22	967.85	1,298.12	\$4,298.40
Meadowbank	TMB2	1,363.41	939.62	659.10	4,014.16	\$6,976.29

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Connection Site	TNI	Common Service Price (\$/MVA/mth)	TUoS General Charges (\$/MVA/mth)	TUoS Usage Price (\$/MVA/mth)	Monthly Exit Charges (\$/MVA/mth)	Total (\$/MVA/mth)
Mowbray	TMY2	939.55	647.51	617.77	494.64	\$2,699.47
New Norfolk	TNN2	1,363.41	939.62	1,033.25	2,039.70	\$5,375.98
Newton	TNT2	1,363.41	939.62	3,245.85	3,817.99	\$9,366.87
North Hobart	TNH2	1,199.93	826.96	1,234.55	848.85	\$4,110.29
Norwood	TNW2	1,143.66	788.18	769.15	715.66	\$3,416.65
Palmerston	TPM3	1,363.41	939.62	530.53	3,851.97	\$6,685.53
Port Latta	TPL2	1,327.22	914.68	1,685.56	2,420.16	\$6,347.62
Queenstown	TQT2	1,363.41	939.62	1,229.87	5,946.60	\$9,479.50
Railton	TRA2	1,363.41	939.62	825.37	893.49	\$4,021.89
Risdon	TRI2	1,175.81	810.33	908.99	1,055.18	\$3,950.31
Rokeby	TRK2	1,080.31	744.52	1,477.59	1,030.18	\$4,332.60
Rosebery	TRB2	1,158.81	798.60	606.51	2,807.13	\$5,371.05
Savage River	TSR2	1,045.98	720.86	1,142.80	2,164.10	\$5,073.74
Scottsdale	TSD2	1,363.41	939.62	2,758.51	3,275.25	\$8,336.79
Smithton	TST2	1,363.41	939.62	2,423.29	2,278.67	\$7,004.99
Sorell	TSO2	1,363.41	939.62	1,422.46	1,502.51	\$5,228.00
St Marys	TSM2	1,223.31	843.07	1,567.15	2,154.56	\$5,788.09
Trevallyn	TTR2	1,276.56	879.77	624.17	744.68	\$3,525.18
Triabunna	TTB2	1,105.73	762.04	1,424.55	5,523.62	\$8,815.94
Tungatinah	TTU2	1,363.41	939.62	478.96	36,664.75	\$39,446.74
Ulverstone	TUL2	1,363.41	939.62	1,015.75	1,089.39	\$4,408.17
Waddamana	TWA2	636.12	438.40	234.97	19,825.40	\$21,134.89
Wesley Vale	TWV2	753.98	519.44	710.25	3,103.13	\$5,086.80
Hobart (Virtual)	TVN1	1,217.26	838.90	994.53	1,064.71	\$4,115.40
Tamar (Virtual)	TVN2	1,209.78	833.74	692.09	1,013.69	\$3,749.30

Virtual transmission nodes have been developed for Hobart and Launceston due to the high level of inter-connectability of the transmission connection sites and the regular need to transfer loads within the distribution network.

Hobart (Virtual) is based on the following connection sites: Chapel St, Creek Rd, Lindisfarne, Nth Hobart, Risdon and Rokeby. Launceston (Virtual) is based on the Norwood, Trevallyn, Hadspen and George Town connection sites.

3.23 General Network Terms and Conditions

These General Network Terms and Conditions are applicable to all Network Tariffs.

3.23.1 Times

All times are given as Australian Eastern Standard Time.

3.23.2 Aurora's Obligation to Supply

Under Section 26(2) of the ESI Act, Aurora is not obliged to supply electricity to a customer if:

- a) the supply would overload the power system or prejudice in some other way the supply of electricity to other customers; or
- b) the supply would result in contravention of the conditions of the electricity entity's licence; or
- c) the supply would result in risk of fire or some other risk to life or property; or
- d) the supply is or needs to be interrupted –
 - i) in an emergency; or
 - ii) in circumstances beyond the electricity entity's control; or
 - iii) for carrying out work on electricity infrastructure; or
 - iv) to comply with a direction to the electricity entity under the ESI Act; or
- e) the electricity entity is exempted from the obligation by regulation.

3.23.3 Customers' General Obligations

Aurora is obliged to place the following conditions upon customers under the TEC.

3.23.3.1 Use of Electricity

A Customer must not allow a supply of electricity to its electrical installation to be used other than at the Customer's premises nor will the Customer supply electricity so supplied to any other person without the prior approval of Aurora. [TEC 8.6.2(a)(1)]

A Customer must not take electricity supplied to another Customer's electrical installation by Aurora at the Customer's premises. [TEC 8.6.2(a)(8)]

3.23.3.2 Maintenance of Customers' Installations

A Customer must at its own expense, maintain the Customer's electrical installation in a safe condition to the satisfaction of its Distribution Network Service Provider [Aurora] or other relevant authority. [TEC 8.6.2(a)(5)]

3.23.3.3 Operation of Customers' Installation

A Customer must ensure that the Customer's electrical installation and any equipment within it (including protective equipment) are adequate, and effectively co-ordinated at all times with the electrical characteristics of Aurora's distribution system. [TEC 8.6.2(a)(6)]

A Customer must use the electricity supplied to its electrical installation in a manner, which in the opinion of Aurora, does not interfere with the supply of electricity to other Customers' electrical installations or cause damage or interference to any third party. [TEC 8.6.2(a)(7)]

3.23.3.4 Protection of Aurora Assets

A Customer must not interfere or allow interference with any equipment of its Distribution Network Service Provider [Aurora] which is on the Customer's premises except as may be permitted by law. [TEC 8.6.2(a)(2)]

A Customer must provide and maintain on the Customer's premises any reasonable or agreed facility required by Aurora to protect any equipment of the Distribution Network Service Provider [Aurora]. [TEC 8.6.2(a)(4)]

3.23.3.5 Access

A Customer must at all times, make available to Aurora's officers or agents, together with their equipment, a safe, convenient and unhindered access to the equipment of the Distribution Network Service Provider [Aurora] on the Customer's premises for any purposes associated with the supply, metering or billing of electricity or the inspection and/or testing of the Customer's electrical installation, provided that official identification is produced by the officers or agents on request. The Customer must provide protective equipment to officers or agents of Aurora if that is necessary to ensure safe access to the Customer's premises. [TEC 8.6.2(a)(3)]

3.23.3.6 Compulsory Provision of Land

A Customer must if, in respect of an electrical installation, it has a maximum demand over 100 kVA must, if Aurora is unable to continue to satisfy that maximum demand without installing a new substation, sell or lease to Aurora the land upon which a new substation can be installed by Aurora in order to allow Aurora to satisfy that maximum demand. [TEC 8.6.2(b)]

3.23.3.7 Power Factor

A Customer must (unless otherwise agreed with its Distribution Network Service Provider) at all times keep the power factor of its electrical installation within the relevant range set out in Table 34. [TEC 8.6.3(a)]

Table 49: Power Factor Ranges

Supply Voltage (kV)	Power Factor range for Customer maximum demand and voltage					
	Up to 100 kVA		Over 100 kVA, less than 2 MVA		Over 2 MVA	
	Minimum Lagging	Minimum Leading	Minimum Lagging	Minimum Leading	Minimum Lagging	Minimum Leading
<1	0.75	0.80	0.80	0.80	0.85	0.85
1 - 6.6	0.75	0.80	0.80	0.80	0.90	0.90
6.6, 11, 22	0.80	0.80	0.85	0.85	0.90	0.90
33, 44, 66	0.85	0.85	0.90	0.90	0.95	0.95

3.23.3.8 Voltage Fluctuations

A Customer must ensure that the customer's equipment does not cause voltage fluctuations at the point of common coupling greater than the levels specified in AS/NZ 61000.3.5:1998 and AS/NZ 61000.3.7:2001 as appropriate. [TEC 8.6.9]

If two or more Customers' electrical installations are connected at the same point of common coupling, the maximum permissible contribution to voltage fluctuations allowable from each Customer is to be determined in proportion to their respective maximum demand, unless otherwise agreed. [TEC 8.6.9]

3.23.3.9 Provision of Planning Information

[TEC 8.8(a)] A Customer must supply, if requested, to Aurora or the Electricity Retailer as the case may be, details of loads connected or planned to be connected to Aurora's distribution system which Aurora requires for the purpose of planning its distribution system, including:

- (1) the location of the load in the distribution system;
- (2) existing loads;
- (3) existing load profile;
- (4) changes in load scheduling;
- (5) planned outages;
- (6) forecasts of load growth;
- (7) anticipated new loads;
- (8) anticipated redundant loads; and
- (9) the nature of any disturbing loads.

3.23.3.10 Vegetation Management

A Customer must, at its own expense, maintain safe clearances between vegetation on the Customer's property and electrical infrastructure providing supply to the Customer's electrical installation. [TEC 8.6.2(a)(9)]

3.23.4 Fallback

In the event that a customer is moved onto a Fallback Contract, the Network Tariffs for that customer's installation(s) affected by the move remains unchanged.

3.23.5 Demand Tariffs

3.23.5.1 Reassignment of Network Tariffs due to Increases in Electrical Demand

Where a customer requires a change in Network Tariff due to an increase in electrical demand at a connection point, the customer must submit a written request to Aurora Energy.

The increased level of electrical demand shall apply from the requested date or as near as possible thereafter, subject to any required works being completed by Aurora Energy.

Customers seeking tariff reassignment must remain on the reassigned tariff for a minimum twelve (12) month period.

Exceptions will only be made at Aurora Network's discretion where it can be demonstrated that to not do so would result in unreasonable penalties or impose hardship on the customer.

Note: this condition prevents customers from changing tariffs to take advantage of seasonal variations in prices according to their individual load; thereby bypassing payment that reflects use of the distribution network over a full twelve (12) month cycle.

3.23.5.2 Reassignment of Network Tariffs due to Temporary Increases in Maximum Demand

Temporary increases in electrical demand will:

- Be subject to negotiation and approval by Aurora Energy.
- Be defined in terms of "additional demand" for a specific period and charged at an agreed Demand Charge rate.
- Apply for one full billing period, except in the case of commissioning of new plant, in which case the duration of the temporary increase may be extended for the duration of the commissioning period.
- Be limited to one occurrence each twelve months or as otherwise agreed with Aurora Energy.

3.23.5.3 Reassignment of Network Tariffs due to Reductions in Maximum Demand

Where a customer requires a change in Network Tariff due to a reduction in electrical demand at their connection point, the customer must provide six months written advice to Aurora Energy detailing their new requirement.

Aurora Energy will notify the customer in writing within sixty days of receipt of the written advice, advising the revised NUoS charges and also any costs associated with the relocation of Aurora's assets at their site.

Following the installation by a customer of load management equipment approved by Aurora Energy or the implementation of a demand management initiative approved by Aurora Energy, the six month notice period referred to above may be reduced at the discretion of Aurora Energy.

Customers seeking tariff reassignment must remain on the reassigned tariff for a minimum twelve (12) month period.

Exceptions will only be made at Aurora Network's discretion where it can be demonstrated that to not do so would result in unreasonable penalties or impose hardship on the customer.

Note: this condition prevents customers from changing tariffs to take advantage of seasonal variations in prices according to their individual load; thereby bypassing payment that reflects use of the distribution network over a full twelve (12) month cycle.

3.23.5.4 Calculation of Maximum Demand

Any tariff charges based upon the maximum demand of an installation are calculated using the maximum demand for the installation during the billing period. The maximum demand of an installation during a billing period is taken to be the largest value of the electrical demand for that installation during that billing period. The electrical demand of an installation for a "Demand Integration Period" is taken to be the energy consumption of that installation during the "Demand Integration Period" divided by the length of the "Demand Integration Period" measured in hours. Currently, the Demand Integration Period is 30 minutes.

3.23.5.5 Calculation of NUoS Charges for Specified Demand Tariffs

Calculation of NUoS Charges for Specified Demand Tariffs

In this section, "Nominated Demand" means the value of electrical demand of the site to which the Specified Demand Network Tariff applies as nominated by the operator of that site to Aurora.

Network Tariff N15:

The demand-based charges for an installation on the Network Tariff N15 would be calculated monthly as follows:

- (a) the monthly demand-based charge is the sum of the daily demand-based charges for the month;
- (b) the daily demand-based charges are:

- (i) if any daily ATMD in the month is less than or equal to 100% of the Nominated Demand, the demand charge for the day will be equal to the specified demand multiplied by the specified demand rate; or
- (ii) if any daily maximum demand in the month is greater than the Nominated Demand, the daily demand charge will be the sum of:
 - the specified demand multiplied by the specified demand rate; and
 - the difference between the maximum demand and the specified demand multiplied by the excess demand rate;
- (iii) the excess demand rate is five times the specified demand rate.

Network Tariffs other than N15:

The demand-based charges for an installation on a Specified Demand Network Tariff other than N15 would be calculated monthly as follows:

- (a) the monthly demand-based charge is the sum of the daily demand-based charges for the month;
- (b) the daily demand-based charges are:
 - (i) if any daily ATMD in the month is less than or equal to 100% of the Nominated Demand, the demand charge for the day will be equal to the specified demand multiplied by the specified demand rate; or
 - (ii) if the daily ATMD is greater than the Nominated Demand, but not greater than 120% of the Nominated Demand, then the demand charge for the day will be the maximum demand multiplied by the specified demand rate; or
 - (iii) if any daily maximum demand in the month is greater than the Nominated Demand by 120%, the daily demand charge will be the sum of:
 - 120% of the specified demand multiplied by the specified demand rate; and
 - the difference between the maximum demand and 120% of the specified demand multiplied by the excess demand rate;
 - (iv) the excess demand rate is ten times the specified demand rate.

4 Adjustment Variables

This section is to address:

Guideline 2.3(d)(6):

“A Network Tariff Pricing Proposal must...provide details of adjustment variables, including CPI, pass-through and other adjustments permissible under the 2007 Determination and transmission charges attributable to distribution connected customers for the period and an explanation of how each Network Tariff will be affected by the impact of the adjustment or adjustments...”

Guideline 2.3(d)(9):

“A Network Tariff Pricing Proposal must...describe the nature and extent of and proposed changes from the previous period and demonstrate that the changes comply with these Guideline and the 2007 Determination;”

The following sections detail the changes to the adjustment variables allowed in the 2007 Determination.

4.1 AARR Calculation Equation Variables

4.1.1 CPI Adjustments

The Regulator permits Aurora's AARR to be indexed according to CPI in two ways: the inflation of the forecast maximum revenues, which were given in July 2006 dollars, by a Prescribed Inflationary Factor; and the inflation of adjustments from previous periods.

4.1.1.1 Prescribed Inflationary Factor

The value for the Prescribed Inflationary Factor is given in Section 3 of the Determination.

The CPI value for the quarter ending on 30 June 2006 was 154.3.

The CPI value for the quarter ending on 31 December 2008 was 166.0.

4.1.1.2 Inflation from Previous Periods

The Determination defines the quantity CPI_y as “the CPI for the quarter ending 6 months prior to the commencement of the period in question. Thus CPI_3 will be the CPI for the December quarter 2008.”

In calculating the AARR, the determination prescribes the use of the values CPI_y , CPI_{y-1} , and CPI_{y-2} . For this Period 3, therefore, we need values for CPI_3 , CPI_2 , CPI_1 and CPI_0 . Using the definition:

CPI_3 will be the CPI for the December quarter of 2008, since P_3 begins on 1 July 2009;

CPI_2 will be the CPI for the December quarter of 2007, since P_3 begins on 1 July 2008;

CPI_1 will be the CPI for the June quarter of 2007, since P_1 begins on 1 January 2008; and

CPI_0 will be the CPI for the June quarter of 2006, since P_0 begins on 1 January 2007.

Thus,

CPI_3 is 166.0;

CPI_2 is 160.1;

CPI_1 is 157.5; and

CPI_0 is 154.3.

4.1.2 Electrical Safety Inspection Service Charge Adjustment

This is the allowable variation between the actual electrical safety inspection service charge for Period 1 and the forecast charge for Period 1. The actual electrical safety inspection service charge is as determined by the Minister, and published in the Gazette, in accordance with section 121B of the ESI Act.

The calculation, presented in Section 8, provides the allowable variation to be, \$0.001m.

4.1.3 National Energy Market Charge

This is the allowable variation between the National Energy Market charge for Period 1 and the forecast charge for Period 1. The actual National Energy Market charge is as determined by the Minister, and published in the Gazette, in accordance with section 121 of the ESI Act.

The calculation, presented in Section 8, provides the allowable variation to be, -\$0.022m.

4.1.4 Trunk Mobile Radio Allowance

This is the allowable variation between the amount provided in the AARR and the actual cost of participation in the State Government's Trunk Mobile Radio Network.

The Determination provides that, in Period 2, this amount is zero.

4.1.5 GSL Scheme Single Event Cap

The 2007 Determination provided a mechanism to recognise the effects on Aurora's manpower resources of a large event that causes widespread outages. The mechanism allows Aurora to recover half of the value of extended duration GSL payments made to customers that experienced an outage of duration between the normal codified standard and a revised threshold that takes into account the number of customers affected.

The calculation, presented in Section 8, provides the allowable variation to be zero.

4.1.6 Under/Over Recovery Adjustment

The 2007 Determination allows Aurora to adjust its revenues to account for over- or under-recovery of revenues in a previous year due to a difference between the forecast and actual customer base, the latter being a function of the number of installations and the expected loads of individual tariff classes.

The calculation, presented in Section 8, provides the allowable variation to be \$10.170m.

4.1.7 NEM Costs

This adjustment is to allow for the difference between allowed forecast costs for participation in the NEM, excluding those cost attributable to Full Retail Contestability.

The calculation, presented in Section 8, provides the allowable variation to be \$1.630m.

4.1.8 FRC Costs

This allowance is to provide for the recovery of costs associated with preparations by Aurora for operating under Full Retail Contestability in Tasmania.

The calculation, presented in Section 8, provides the allowable variation to be zero.

4.1.9 Allowable Tax Events

This adjustment to provide for the pass-through of costs associated with an allowable tax event as consistent with Regulation 31(4) of the Price Control Regulations.

During Period 2 there were no such allowable tax events, so the adjustment is zero.

4.1.10 Approved Increased Safety / Environmental Compliance Costs

This adjustment to provide for the pass-through of costs associated with a change in safety or environmental legislation.

During Period 2 there were no such changes in legislation, so the adjustment is zero.

4.1.11 Capital Contributions Policy Change Adjustment

This adjustment is to compensate for the effects upon AARR of a change in Aurora's Capital Contributions Policy.

During Period 2 there was no change to Aurora's Capital Contributions Policy, so the value of this adjustment is zero.

4.1.12 GSL Scheme Cumulative Payments Cap

The 2007 Determination allows Aurora to limit its exposure under the GSL scheme by providing an adjustment to recover the value of "excessive" GSL payments.

The actual payments for Period 2 are not available until the Regulated accounts covering Period 2 are completed and audited. The adjustment for GSL payment related to Period 2 is to be held over until Period 4.

For Period 3, $GSLcap_2$ is zero.

4.1.13 Adjustment from Previous Determination

The Regulator, in the AARR calculation methodology, provides an adjustment variable to allow for revenue adjustments resulting from the 2003 Determination.

The calculation, presented in Section 8, provides the allowable variation to be zero.

4.1.14 Banking

The Regulator, in the AARR calculation, provides an adjustment variable to be used to assist in smoothing price fluctuations.

Aurora intends, subject to approval by the Regulator, to use the full capacity of this adjustment variable in Period 3, making the adjustment $-\$4.411m$.

4.2 Transmission Costs

The delivery of electricity from generation to final consumer involves two levels of network services, distribution and transmission. Transend is the monopoly provider of transmission network services in Tasmania, holding a transmission licence in accordance with the ESI Act. Transend's revenues are regulated by the AER, with the AER's transmission determination setting the maximum revenues that Transend may earn for the provision of transmission services. Aurora collects revenues on behalf of Transend; these are included as a component of Aurora's charges for the provision of distribution services.

Aurora anticipates the 2009/10 Transend charge to be around \$90 million. By way of comparison, the amount required for the provision of transmission services to customers on the Aurora distribution network during the 2008/09 financial year was \$79 million.

Transend Network has recently participated in a price reset under the auspices of the AER. The final report released by the AER on 30 April 2009 indicates that transmission prices will increase on average by 14%. Aurora has factored this 14% increase into its estimate of the 2009/10 transmission charges.

4.3 Metering Costs

The Regulator has declared metering services independently of distribution services for the 2008-2012 regulatory period, choosing to regulate metering services by application of a price cap method.

To comply with the 2007 Determination and recover the correct revenue for the provision of distribution metering services, Aurora has applied an average fixed daily metering charge to each Network Tariff.

This charge is calculated as described in the Network Tariff Strategy (Section 5.4.3).

The charge is incorporated into the individual tariffs, and shown in Section 2

4.4 Effects of Adjustment Variables on Network Tariffs

4.4.1 AARR Adjustment Variables

The maximum allowable revenue that may be recovered by Aurora is the sum of the AARR and the adjusted metering and transmission cost pass throughs. The AARR adjustment variables increase or decrease the total amount of revenue that may be recovered. The effects of varying the maximum allowable revenue are, therefore, passed through to all installations on a pro rata basis through the tariffs.

4.4.2 Transmission Charge Variations

Transmission charges are considered as a direct pass-through. Initially, The allocation of TUoS is by reference to the DCoS model so that the transmission charges borne by a tariff customer class is proportional to the fraction of the distribution network cost attributable to that class (see NTS Section 5.4.2). So, any variation in transmission charges is passed through to all installations on a pro rata basis through the tariffs.

4.4.3 Metering Charges Variations

Metering charges are allocated to tariff customer groups based upon the usage of particular meter types by those tariff customer groups, so any variation in metering charges will be allocated pro rata on that basis.

4.5 Effects of Decreasing Consumption on Network Tariffs

The large price increases experienced by customers during Periods 1 and 2 of the current Regulatory Period; and milder than anticipated winter weather patterns have resulted in reduction in energy consumption for a number of customers. These reductions have become evident during Period 2; with actual energy consumption some 3% lower than Aurora's Period 2 forecasts.

This reduction in energy consumption has meant that Aurora has not recovered its allowable revenue for Period 2 by approximately \$10m.

Given the low consumption experienced in Period 2, Aurora has been conservative with its energy and customer forecasts for Period 3 and some Period 3 consumption forecasts are now less than those utilised for Period 2.

This lower than anticipated 'growth' means that Aurora must increase prices by more than would have been anticipated to ensure an appropriate recovery of its allowable revenue for Period 3.

4.6 Effects of Increasing AARR on Network Tariffs

Several factors, discussed above, have an effect on AARR, which leads through to variations in tariff rates. A further factor in tariff increases is in the actual variation of AARR between periods.

The MAR for Period 2 was \$211.671 million. For Period 3, MAR has been calculated to be \$227.893 million (or \$219.793 million in Period 2 dollars). Period 3 MAR has increased by 3.8%, excluding CPI, over that of Period 2. The customer base, on the other hand, has been estimated to increase by less than 1%.

This means that revenues collected from tariff classes have increased by an average of 3.8%, but this increase is spread over only 1% more customers. Tariff rates must, therefore, increase by more than CPI, with the actual rate for a tariff varying according to the characteristics of the customers being served by that tariff.

5 Methodologies

5.1 *Rebalancing of Revenues*

Due to the carry forward of adjustments from Period 2 to Period 3, Aurora's AARR increased by approximately 7.7% between the two periods, while its customer base and load is expected to increase by only around 1% (Section 4.5).

To meet this increase in revenue, Aurora proposes the following general strategy:

- All customers will see an increase of around CPI in the daily charge component of their Network Tariff;
- All customers will see an increase of around 4% in the Metering component of their Network Tariff;
- DUoS and TUoS components of all tariffs will be rebalanced to ensure an appropriate recovery of these components. This will mean that whilst total DUoS revenue will increase by around 8% and total TUoS revenue by around 14%, individual DUoS and TUoS tariff components will vary by differing amounts to the general 8% and 14% increases.
- Residential and business customers will see larger increases in the remaining energy block component of tariffs as the incentives to give discounts for larger consumption are unwound as part of demand management strategies.
- Customers on Nursing Home tariff N02a will receive a discounted energy rate in line with the discussion in Section 6.6 of the NTS;
- Customers on curtilage tariff N02b will receive a discounted DUoS daily charge in line with the discussion in Section 6.7 of the NTS;
- Rebalancing to ensure appropriate revenues will be applied as described in Section 5.3.3 of the NTS to "fine tune" the revenue recovery.

5.2 *Reallocation between Fixed and Variable Costs*

There has been a change in the principles of allocation between fixed and variable costs. Aurora is cognisant of the costs that are borne by small consumption customers and has therefore chosen to increase most fixed charges by CPI only. This decision will mean that a rebalance between fixed and variable charges will occur, as variable charges will increase by more than CPI to ensure an appropriate revenue recovery.

5.3 Rebalancing of TUoS and DUoS Revenues

Whilst Aurora's tariffs for Period 2 have resulted in an under recovery of total revenue, the individual Period 2 tariff components have resulted in an over-recovery of TUoS revenues and an under-recovery of DUoS revenues.

This is not an ideal outcome and Aurora has attempted to rebalance these charges in the design of the Period 3 tariffs such that the individual TUoS and DUoS components not only recover the total allowable revenue but the TUoS and DUoS components of that revenue also match the expected charges from Transend and the AARR allowable to Aurora.

To achieve this exact balance in component revenues would have resulted in some tariff components requiring a decrease in TUoS charges between Periods 2 and 3. Whilst an exact rebalance will achieve the required TUoS and DUoS revenue streams, Aurora has chosen to rebalance the TUoS and DUoS components over the remainder of the Regulatory Period to, wherever possible, prevent negative price impacts on constituent components of individual tariffs. Aurora has therefore increased TUoS components of most tariffs by an average 5% only.

6 Compliance

This section is to address Guideline 2.3(d)(8): “A Network Tariff Pricing Proposal must...demonstrate compliance with the 2007 Determination, including demonstrating that the expected revenue from the distribution Network Tariffs does not exceed the AARR for the specified period, these Guideline and the Network Tariff Strategy;

6.1 Reconciliation of Tariff Revenue with AARR

Table 50: Reconciliation of Tariff Revenue with AARR

Revenue Reconciliation	Expected Revenue
Revenue	
Total Revenue from Tariffs N01 to N15	\$319,245,761
Total Revenue from Tariff N20 (streetlight DUoS)	\$2,045,102
Estimated TUoS from N15	\$4,088,559
DUoS Revenue from ITC	\$1,369,966
TUoS Revenue from ITC	\$4,392,183
Total Revenue	\$331,141,570
Less adjustments	
TUoS Charge	
Forecast total TUoS charge for Period	\$90,226,924
Metering Revenue	
Revenue included in tariffs	\$13,104,554
Total Adjustments	\$103,331,478
Net Revenue after revenue adjustments	\$227,810,092
AARR allowance from 2007 Determination Table 1	\$204,982,000
CPI adjustment to revenue allowance	\$15,543,000
Other adjustments	\$7,368,070
Total Allowable Revenue (excluding meters)	\$227,893,070

6.2 Compliance with the Guideline

This section is to demonstrate the compliance of the Period 3 Pricing Proposal with the Guideline.

Guideline 2.3 (a) (5): Aurora must...submit to the Regulator, at least 2 months before the commencement of Period 3 and each subsequent period of the Determination, a further Pricing Proposal (an 'Annual Pricing Proposal') for the relevant period.

The Pricing Proposal for Period 3 must be submitted to the Regulator before the 30th April, 2009.

Guideline 2.3 (d) (1): A Network Tariff Pricing Proposal must...set out the proposed Network Tariffs that are to apply for the relevant period...

The proposed Network Tariffs for Period 3 are set out by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (2): A Network Tariff Pricing Proposal must...set out, for each proposed Network Tariff, the terms and conditions and the charging parameters and the elements of service to which each charging parameter relates...

The terms and conditions, the charging parameters and the elements of service to which each charging parameter relates are set out by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (3): A Network Tariff Pricing Proposal must...detail the bona fide forecast installation numbers and loads and the basis of that forecast for each proposed Network Tariff used in developing the Network Tariff Pricing Proposal;

The bona fide forecast installation numbers and loads are presented by tariff class in Section 3 of this Pricing Proposal.

The bases of the bona fide forecast installation numbers and loads are taken from data obtained from the Aurora's distribution billing system. Overall loads and installation numbers are anticipated to increase by less than 1% between Periods 2 and 3. This is in line with the most recent 10 year distribution load forecast.

Guideline 2.3 (d) (4): A Network Tariff Pricing Proposal must...set out, for each proposed Network Tariff, the expected revenue for that Network Tariff for the relevant regulatory period and also for the current regulatory period...

The expected revenues for Period 3 and the expected Revenues for Period 2 for each proposed Network tariff are presented by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (5): A Network Tariff Pricing Proposal must...detail any proposed amendments, variations or adjustments to the Network Tariff proposed, the justification for the proposed amendments, variations or adjustments and whether these amendments, variations or adjustments are consistent with the Network Tariff Strategy...

Details of any proposed amendments, variations or adjustments to the Network Tariff proposed, the justification for the proposed amendments, variations or adjustments and whether these amendments, variations or adjustments are consistent with the Network Tariff Strategy are presented by tariff in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (6): A Network Tariff Pricing Proposal must...provide details of adjustment variables, including CPI, pass-through and other adjustments permissible under the 2007 Determination and transmission charges attributable to distribution connected customers for the period and an explanation of how each Network Tariff will be affected by the impact of the adjustment or adjustments.

Details of adjustment variables and explanations of how each tariff will be affected by these changes are presented in Section 4.

Guideline 2.3 (d) (7): A Network Tariff Pricing Proposal must...set out the nature of any proposed variation or adjustment to the Network Tariff that could occur during the subsequent periods and the basis on which it could occur...

The nature of any proposed variations or adjustments to Network Tariffs that could occur during subsequent periods and the basis on which they could occur are presented by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (8): A Network Tariff Pricing Proposal must...demonstrate compliance with the 2007 Determination, including demonstrating that the expected revenue from the distribution Network Tariffs does not exceed the AARR for the specified period, these Guideline and the Network Tariff Strategy...

Demonstration of compliance with the 2007 Determination, including demonstration that the expected revenue from the distribution Network Tariffs does not exceed the AARR for the specified period, the Guideline and the Network Tariff Strategy is presented in Section 6.1 of this Pricing Proposal.

Guideline 2.3 (d) (9): A Network Tariff Pricing Proposal must...describe the nature and extent of and proposed changes from the previous period and demonstrate that the changes comply with these Guideline and the 2007 Determination...

The nature and extent of proposed changes from the previous period and demonstrations that the changes comply with these Guideline and the 2007 Determination are presented by tariff class in Section 3 of this Pricing Proposal.

Guideline 2.3 (d) (10): A Network Tariff Pricing Proposal must...demonstrate the impact on typical customers...

The impact of the proposed Network tariffs upon typical customers is presented in Section 7 of this Pricing Proposal.

Guideline 2.3 (d) (11): A Network Tariff Pricing Proposal must...be accompanied by an internal audit certificate and certified as correct by the Chairman and one other Director of Aurora.

The internal audit certificate and certification of correctness are attached at Attachment A to this Pricing Proposal.

6.3 Compliance with the Network Tariff Strategy

The compliance of aspects of this Pricing Proposal with the NTS is addressed in the sections that deal with those aspects.

6.4 Compliance with the 2007 Determination

6.4.1 “Postage Stamp” Pricing

Pricing Principle (a) of the 2007 Determination requires that, “Network Tariffs for small customers belonging to a particular class are to be uniform, regardless of where in mainland Tasmania the customer is supplied with electricity.”.

The Aurora suite of tariffs for small customers is applicable irrespective of installation location.

6.4.2 Bounded Revenues

Pricing Principle (a) of the 2007 Determination requires that:

For each Network Tariff class, the revenue expected to be recovered should lie on or between:

- (1) an upper bound representing the stand alone cost of serving the customers who belong to that class; and
- (2) a lower bound representing the avoidable cost of not serving those customers.

Using the methodology described in Section 5.1 of the NTS, Aurora has calculated the relevant upper and lower bounds for each Network Tariff class. These, and the revenue recoverable from each Network Tariff class, are presented in Table 36.

Table 51: Tariff Class Revenues, Stand Alone Costs & Avoidable Costs

Tariff Class	Stand-Alone Cost (\$ million)	Expected Revenue (\$ million)	Avoidable Cost (\$ million)
N01 General Network	306.30	106.71	8.70
N02 General Network - Business	245.72	79.09	1.98
N02B - General Network - Business less curtilage	245.72	1.75	0.00
N02A General Network - Business Nursing Homes	245.72	1.54	0.00
N03 LV Metered Demand (kW)	213.92	9.44	0.23
N05 Uncontrolled Heating	218.61	33.55	0.00
N06 Controlled Heating	207.93	2.70	0.00
N06A Controlled Heating - (Night)	207.93	0.00	0.00
N07 Small LV unmetered	206.65	0.16	0.01
N08 LV Irrigation, Day/Night	209.52	7.74	0.07
N08A LV Irrigation, Day/Night, ToU Energy	209.52	0.38	0.07
N09 LV Metered Demand (kVA)	217.51	25.94	0.27
N13 LV PAYG	231.87	37.94	1.95
N13R LV Residential, ToU Energy	231.87	1.10	1.95
N13B LV Commercial, ToU Energy	231.87	1.14	1.95
N10 HV Metered Demand (kVA)	211.48	6.35	0.16
N10S HV Specified Demand (kVA), ToU Energy	211.48	0.54	0.16
N11 HV Metered Demand (kW)	207.82	0.48	0.06
N15 HV>2MVA Specified Demand	206.86	2.68	0.00
N20 Streetlight	207.83	2.05	0.00

6.4.3 Long Run Marginal Costs

Pricing Principle (c)(1) of the 2007 Determination requires that, “A Network Tariff, and if it consists of 2 or more charging parameters each charging parameter for a tariff class...must take into account the long run marginal cost for the service or, in the case of a charging parameter, for the element of the service to which the charging parameter relates...”

Aurora believes that it has set its Network Tariffs to achieve compliance with this requirement. Refer to Section 9.3.1 of the NTS for discussion of this.

7 Typical Customer Effects

This section is to address Guideline 2.3(d)(10): “A Network Tariff Pricing Proposal must...demonstrate the impact on typical customers; and”

7.1 Estimated Changes to Network Tariff Rates Between Period 2 and Period 3

Previously Aurora presented a typical customer analysis based upon retail tariffs. Bearing in mind that Aurora as a DNSP has little control over how retailers package their tariffs, any such analysis was purely speculative in nature and final retail outcomes did not match distribution predictions. Aurora has therefore produced a typical customer analysis that provides price impacts for the ‘network’ component of tariffs only and utilises load predictions for the equivalent retail tariffs.

7.1.1 Method

Historical load distributions by common tariff mix were obtained from Aurora Retail.

The Aurora Network published tariff rates for Period 2 were obtained.

The proposed Period 3 Aurora Network tariffs were included.

The Period 2 and Period 3 Aurora Network tariffs were applied to the historical load distributions.

The results are presented in the following sections

7.1.2 Notes

The estimated tariffs exclude GST.

In line with NEM metering convention, consumption is metered on a daily basis. Accordingly, the consumption thresholds in the tariffs, while presented on a quarterly basis, are applied on a pro rata daily basis. The pro rata daily threshold is given by the equation

Pro rata Daily Consumption Threshold = $4 \times \text{Quarterly Consumption Threshold} \div 365$.

7.2 Typical Customer Analysis Results – Estimated Network Outcomes

7.2.1 LV General Network – Residential (N01) – this is equivalent to Aurora Retail tariff 31

N01		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	135	9.029	12.19	9.528	12.86	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
Total	635		99.38		105.37	6.0%
(1 st Quartile)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	202	9.809	19.81	10.587	21.39	7.9%
Next 1,000kWh per Quarter (c/kWh)	0	9.029		9.528		
Remaining Consumption (c/kWh)	0	7.613		8.999		
Total	202		57.96		60.96	5.2%
3 rd Quartile						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	768	9.029	69.34	9.528	73.18	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
Total	1,268		156.53		165.68	5.8%

7.2.2 LV General Network – Residential (N01) and LV uncontrolled Energy (N05) – this is equivalent to Aurora Retail tariffs 31 and 41

N01 & N05		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	558	9.029	50.38	9.528	53.17	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
(N05)						
Daily Charge (c/day)	91	11.035	10.04	11.195	10.19	1.4%
All Energy Charge (c/kWh)	779	2.899	22.58	3.094	24.10	6.7%
Total			170.19		179.96	5.7%
1st Quartile						
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	146	9.029	13.18	9.528	13.91	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
(N05)						
Daily Charge (c/day)	91	11.035	10.04	11.195	10.19	1.4%
All Energy Charge (c/kWh)	567	2.899	16.44	3.094	17.54	6.7%
Total			126.85		134.15	5.8%

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3rd Quartile						
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	1,000	9.029	90.29	9.528	95.28	5.5%
Remaining Consumption (c/kWh)	49	7.613	3.73	8.999	4.41	18.2%
(N05)						
Daily Charge (c/day)	91	11.035	10.04	11.195	10.19	1.4%
All Energy Charge (c/kWh)	1,077	2.899	31.22	3.094	33.32	6.7%
Total			222.47		235.70	5.9%

7.2.3 LV General Network – Residential (N01) and LV uncontrolled Energy (N05) – this is equivalent to Aurora Retail tariffs 31 and 42

Network Tariffs N01, N05		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	538	9.029	48.58	9.528	51.26	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
(N05)						
Daily Charge (c/day)	91	11.035	10.04	11.195	10.19	1.4%
All Energy Charge (c/kWh)	1,710	2.899	49.57	3.094	52.91	6.7%
Total			195.38		206.86	5.9%
1st Quartile						
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	238	9.029	21.49	9.528	22.68	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
(N05)						
Daily Charge (c/day)	91	11.035	10.04	11.195	10.19	1.4%
All Energy Charge (c/kWh)	1,140	2.899	33.05	3.094	35.27	6.7%
Total			151.77		160.64	5.8%

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3rd Quartile						
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	931	9.029	84.06	9.528	88.71	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
(N05)						
Daily Charge (c/day)	91	11.035	10.04	11.195	10.19	1.4%
All Energy Charge (c/kWh)	2,383	2.899	69.08	3.094	73.73	6.7%
Total			250.37		265.13	5.9%

7.2.4 LV General Network – Residential (N01), LV Uncontrolled Energy (N05) and LV Controlled Heating (N06) – this is equivalent to Aurora Retail tariffs 31, 41 and 61/62

Network Tariffs N01, N05, N06		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	635	9.029	57.33	9.528	60.50	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
(N05)						
Daily Charge (c/day)	91	11.035	10.04	11.195	10.19	1.4%
All Energy Charge (c/kWh)	778	2.899	22.55	3.094	24.07	6.7%
(N06)						
Daily Charge (c/day)	91	14.018	12.76	14.845	13.51	5.9%
All Energy Charge (c/kWh)	984	0.784	7.71	0.837	8.24	6.8%
Total			197.59		209.01	5.8%
1st Quartile						
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	360	9.029	32.50	9.528	34.30	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
(N05)						
Daily Charge (c/day)	91	11.035	10.04	11.195	10.19	1.4%
All Energy Charge (c/kWh)	681	2.899	19.74	3.094	21.07	6.7%
(N06)						
Daily Charge (c/day)	91	14.018	12.76	14.845	13.51	5.9%
All Energy Charge (c/kWh)	522	0.784	4.09	0.837	4.37	6.8%
Total			166.32		175.94	5.8%

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Network Tariffs N01, N05, N06		Period 2 2008/09		P3 2009/10		
3rd Quartile	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	1,000	9.029	90.29	9.528	95.28	5.5%
Remaining Consumption (c/kWh)	66	7.613	5.02	8.999	5.94	18.2%
(N05)						
Daily Charge (c/day)	91	11.035	10.04	11.195	10.19	1.4%
All Energy Charge (c/kWh)	961	2.899	27.86	3.094	29.73	6.7%
(N06)						
Daily Charge (c/day)	91	14.018	12.76	14.845	13.51	5.9%
All Energy Charge (c/kWh)	1,530	0.784	12.00	0.837	12.81	6.8%
Total			245.15		259.96	6.0%

7.2.5 LV General Network – Residential (N01), LV Uncontrolled Energy (N05) and LV Controlled Heating (N06) – this is equivalent to Aurora Retail tariffs 31, 41 and 61/62

Network Tariffs N01, N05, N06		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	726	9.029	65.55	9.528	69.17	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
(N05)						
Daily Charge (c/day)	91	11.035	10.04	11.195	10.19	1.4%
All Energy Charge (c/kWh)	1,425	2.899	41.31	3.094	44.09	6.7%
(N06)						
Daily Charge (c/day)	91	14.018	12.76	14.845	13.51	5.9%
All Energy Charge (c/kWh)	910	0.784	7.13	0.837	7.62	6.8%
Total			223.98		237.08	5.8%
1st Quartile						
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	424	9.029	38.28	9.528	40.40	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
(N05)						
Daily Charge (c/day)	91	11.035	10.04	11.195	10.19	1.4%
All Energy Charge (c/kWh)	1,019	2.899	29.54	3.094	31.53	6.7%
(N06)						
Daily Charge (c/day)	91	14.018	12.76	14.845	13.51	5.9%
All Energy Charge (c/kWh)	644	0.784	5.05	0.837	5.39	6.8%
Total			182.86		193.52	5.8%

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Network Tariffs N01, N05, N06		Period 2 2008/09		P3 2009/10		
3rd Quartile	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	1,000	9.029	90.29	9.528	95.28	5.5%
Remaining Consumption (c/kWh)	138	7.613	10.51	8.999	12.42	18.2%
(N05)						
Daily Charge (c/day)	91	11.035	10.04	11.195	10.19	1.4%
All Energy Charge (c/kWh)	1,849	2.899	53.60	3.094	57.21	6.7%
(N06)						
Daily Charge (c/day)	91	14.018	12.76	14.845	13.51	5.9%
All Energy Charge (c/kWh)	1,288	0.784	10.10	0.837	10.78	6.8%
Total			274.48		291.89	6.3%

7.2.6 LV General Network – Residential (N01) and LV Controlled Heating (N06) – this is equivalent to Aurora Retail tariffs 31 and 61/62

Network Tariffs N01, N06		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	508	9.029	45.87	9.528	48.40	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
(N06)						
Daily Charge (c/day)	91	14.018	12.76	14.845	13.51	5.9%
All Energy Charge (c/kWh)	1,110	0.784	8.70	0.837	9.29	6.8%
Total			154.51		163.71	6.0%
1st Quartile						
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	258	9.029	23.29	9.528	24.58	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
(N06)						
Daily Charge (c/day)	91	14.018	12.76	14.845	13.51	5.9%
All Energy Charge (c/kWh)	642	0.784	5.03	0.837	5.37	6.8%
Total			128.27		135.97	6.0%

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3rd Quartile						
(N01)						
Daily Charge (c/day)	91	41.914	38.14	43.483	39.57	3.7%
First 500kWh per Quarter (c/kWh)	500	9.809	49.05	10.587	52.94	7.9%
Next 1,000kWh per Quarter (c/kWh)	884	9.029	79.82	9.528	84.23	5.5%
Remaining Consumption (c/kWh)	0	7.613		8.999		
(N06)						
Daily Charge (c/day)	91	14.018	12.76	14.845	13.51	5.9%
All Energy Charge (c/kWh)	1,675	0.784	13.13	0.837	14.02	6.8%
Total			192.89		204.26	5.9%

7.2.7 LV General Network – Business (N02) – this is equivalent to Aurora Retail tariff 22

Network Tariff N02		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	45.220	41.15	46.917	42.69	3.8%
First 500kWh per Quarter (c/kWh)	500	11.017	55.09	11.466	57.33	4.1%
Remaining Consumption (c/kWh)	472	7.433	35.08	8.999	42.48	21.1%
Total			131.32		142.50	8.5%
(1 st Quartile)						
Daily Charge (c/day)	91	45.220	41.15	46.917	42.69	3.8%
First 500kWh per Quarter (c/kWh)	165	11.017	18.18	11.466	18.92	4.1%
Remaining Consumption (c/kWh)		7.433		8.999		
Total			59.33		61.61	3.9%
3 rd Quartile						
Daily Charge (c/day)	91	45.220	41.15	46.917	42.69	3.8%
First 500kWh per Quarter (c/kWh)	500	11.017	55.09	11.466	57.33	4.1%
Remaining Consumption (c/kWh)	3,393	7.433	252.20	8.999	305.34	21.1%
Total			348.44		405.36	16.3%

7.2.8 LV Nursing Homes (N02a) – this is equivalent to Aurora Retail tariff 34

Network Tariff N02a		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	43.597	39.67	46.917	42.69	7.6%
First 500kWh per Quarter (c/kWh)	500	9.506	47.53	10.427	52.14	9.7%
Remaining Consumption (c/kWh)	167,000	5.015	8,375.05	5.501	9,186.67	9.7%
Total			8,462.25		9,281.50	9.7%
(1 st Quartile)						
Daily Charge (c/day)	91	43.597	39.67	46.917	42.69	7.6%
First 500kWh per Quarter (c/kWh)	500	9.506	47.53	10.427	52.14	9.7%
Remaining Consumption (c/kWh)	5,817	5.015	291.72	5.501	319.99	9.7%
Total			378.93		414.82	9.5%
3 rd Quartile						
Daily Charge (c/day)	91	43.597	39.67	46.917	42.69	7.6%
First 500kWh per Quarter (c/kWh)	500	9.506	47.53	10.427	52.14	9.7%
Remaining Consumption (c/kWh)	548,022	5.015	27,483.30	5.501	30,146.69	9.7%
Total			27,570.51		30,241.52	9.7%

7.2.9 LV Metered Demand (kW) (N03) – this is equivalent to Aurora Retail tariff 83

Network Tariff N03		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	123.671	112.54	202.940	184.68	64.1%
First 250kW Demand (c/kW/day)	52	45.523	2,154.15	48.921	2,314.94	7.5%
Additional Demand (c/kW/day)	0	37.132		44.093		
All Energy (c/kWh)	51,387	2.378	1,221.98	2.374	1,219.93	-0.2%
Total			3,488.67		3,719.54	6.6%
(1 st Quartile)						
Daily Charge (c/day)	91	123.671	112.54	202.940	184.68	64.1%
First 250kW Demand (c/kW/day)	25	45.523	1,035.65	48.921	1,112.95	7.5%
Additional Demand (c/kW/day)	0	37.132		44.093		
All Energy (c/kWh)	21,471	2.378	510.58	2.374	509.72	-0.2%
Total			1,658.77		1,807.35	9.0%
3 rd Quartile						
Daily Charge (c/day)	91	123.671	112.54	202.940	184.68	64.1%
First 250kW Demand (c/kW/day)	138	45.523	5,716.78	48.921	6,143.50	7.5%
Additional Demand (c/kW/day)	0	37.132		44.093		
All Energy (c/kWh)	125,325	2.378	2,980.23	2.374	2,975.22	-0.2%
Total			8,809.55		9,303.39	5.6%

7.2.10 LV Metered Demand (kVA) (N09) – this is equivalent to Aurora Retail tariff 82

Network Tariff N09		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	182.274	165.87	188.958	171.95	3.7%
First 250kVA Demand (c/kVA/day)	125	35.865	4,079.64	38.502	4,379.60	7.4%
Additional Demand (c/kVA/day)	0	32.327		34.703		
All Energy (c/kWh)	123,135	2.039	2,510.72	2.198	2,706.51	7.8%
Total			6,756.24		7,258.06	7.4%
(1 st Quartile)						
Daily Charge (c/day)	91	182.274	165.87	188.958	171.95	3.7%
First 250kVA Demand (c/kVA/day)	61	35.865	1,990.87	38.502	2,137.25	7.4%
Additional Demand (c/kVA/day)	0	32.327		34.703		
All Energy (c/kWh)	48,595	2.039	990.85	2.198	1,068.12	7.8%
Total			3,147.59		3,377.32	7.3%
3 rd Quartile						
Daily Charge (c/day)	91	182.274	165.87	188.958	171.95	3.7%
First 250kVA Demand (c/kVA/day)	250	35.865	8,159.29	38.502	8,759.21	7.4%
Additional Demand (c/kVA/day)	40	32.327	1,176.70	34.703	1,263.19	7.3%
All Energy (c/kWh)	278,150	2.039	5,671.48	2.198	6,113.74	7.8%
Total			15,173.34		16,308.08	7.5%

7.2.11 HV Metered Demand (kVA) (N10) – this is equivalent to Aurora Retail tariff 85

Network Tariff N10		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	175.427	159.64	181.114	164.81	3.2%
Demand Charge (c/kVA/day)	926	20.451	17,233.24	22.250	18,749.19	8.8%
All Energy (c/kWh)	901,858	1.092	9,848.28	1.150	10,371.36	5.3%
Total			27,241.16		29,285.36	7.5%
(1 st Quartile)						
Daily Charge (c/day)	91	175.427	159.64	181.114	164.81	3.2%
Demand Charge (c/kVA/day)	498	20.451	9,267.98	22.250	10,083.26	8.8%
All Energy (c/kWh)	369,000	1.092	4,029.48	1.150	4,243.50	5.3%
Total			13,457.10		14,491.57	7.7%
3 rd Quartile						
Daily Charge (c/day)	91	175.427	159.64	181.114	164.81	3.2%
Demand Charge (c/kVA/day)	1,904	20.451	35,434.22	22.250	38,551.24	8.8%
All Energy (c/kWh)	1,836,950	1.092	20,059.49	1.150	21,124.93	5.3%
Total			55,653.35		59,840.98	7.5%

7.2.12 HV Metered Demand (kW) (N11) – this is equivalent to Aurora Retail tariff 86

Network Tariff N11		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	164.825	149.99	190.692	173.53	15.7%
Demand Charge (c/kW/day)	515	25.540	11,969.32	28.270	13,248.74	10.7%
All Energy (c/kWh)	573,075	1.150	6,590.36	1.242	7,117.59	8.0%
Total			18,709.67		20,539.86	9.8%
(1 st Quartile)						
Daily Charge (c/day)	91	164.825	149.99	190.692	173.53	15.7%
Demand Charge (c/kW/day)	227	25.540	5,275.80	28.270	5,839.73	10.7%
All Energy (c/kWh)	179,200	1.150	2,060.80	1.242	2,225.66	8.0%
Total			7,486.59		8,238.93	10.0%
3 rd Quartile						
Daily Charge (c/day)	91	164.825	149.99	190.692	173.53	15.7%
Demand Charge (c/kW/day)	1,115	25.540	25,914.16	28.270	28,684.16	10.7%
All Energy (c/kWh)	1,044,000	1.150	12,006.00	1.242	12,966.48	8.0%
Total			38,070.15		41,824.17	9.9%

7.2.13 LV Day/Night Irrigation (N08) – this is equivalent to Aurora Retail tariff 73/74

Network Tariff N08		Period 2 2008/09		P3 2009/10		
Median	Units	Network Price	\$	Network Price	\$	% Change
Daily Charge (c/day)	91	179.364	163.22	185.949	169.21	3.7%
Day Energy Charge (c/kWh)	2,882	10.504	302.75	11.466	330.48	9.2%
Night Energy Charge (c/kWh)	4,035	1.689	68.16	0.837	33.78	-50.4%
Total			534.13		533.47	-0.1%
(1 st Quartile)						
Daily Charge (c/day)	91	179.364	163.22	185.949	169.21	3.7%
Day Energy Charge (c/kWh)	455	10.504	47.74	11.466	52.11	9.2%
Night Energy Charge (c/kWh)	508	1.689	8.58	0.837	4.25	-50.4%
Total			219.55		225.58	2.7%
3 rd Quartile						
Daily Charge (c/day)	91	179.364	163.22	185.949	169.21	3.7%
Day Energy Charge (c/kWh)	11,831	10.504	1,242.75	11.466	1,356.57	9.2%
Night Energy Charge (c/kWh)	15,809	1.689	267.01	0.837	132.32	-50.4%
Total			1,672.99		1,658.10	-0.9%

7.3 Comparison with Other Jurisdictions

The following graphs are presented to provide a comparison between the network charges levied by Aurora and those DNSPs in other Australian jurisdictions. The charges for the other DNSPs were estimated using the known load characteristics of Aurora network users and the published Network Tariffs of those DNSPs. For ease of comparison, Aurora’s charges are taken to be 100%.

As a number of DNSPs have not released prices as yet, the comparison is against equivalent Period 2 tariffs in some cases.

Figure 1: Residential Tariff Comparison - Period 3

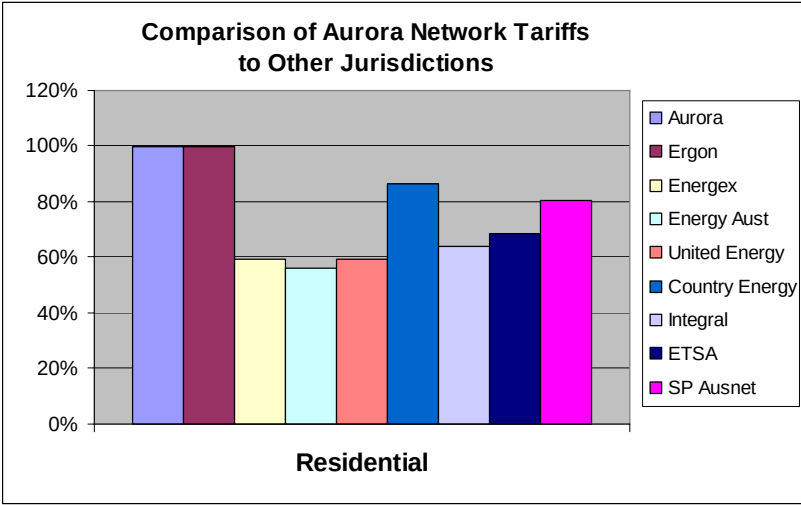


Figure 2: LV Business Tariff Comparison - Period 3

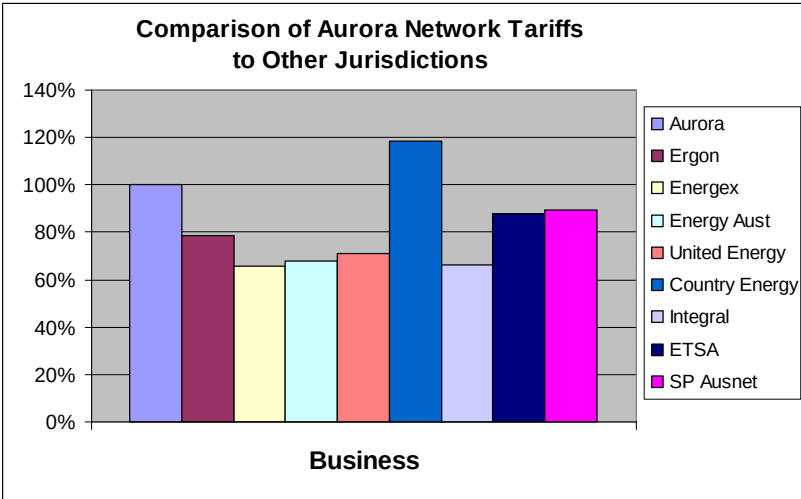


Figure 3: HV Demand (kVA) Tariff Comparison - Period 3

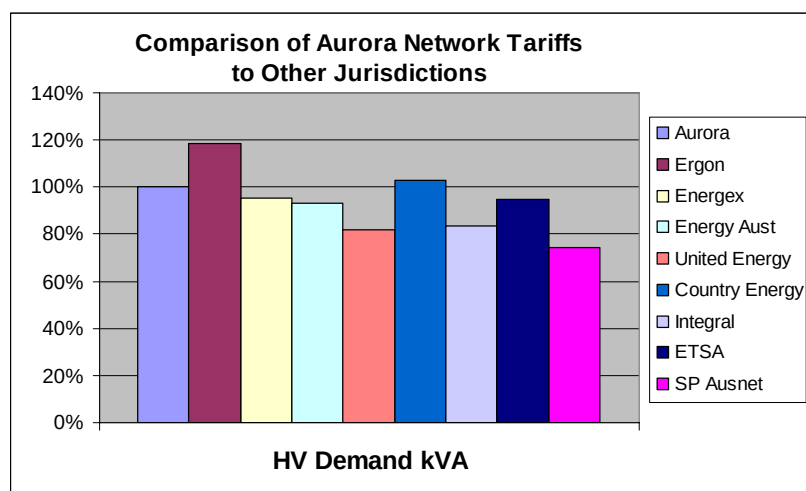
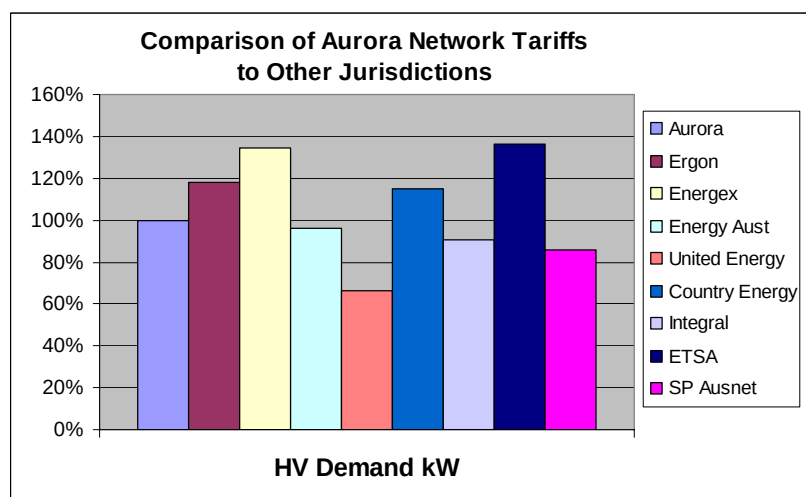


Figure 4: HV Demand (kW) Tariff Comparison - Period 3



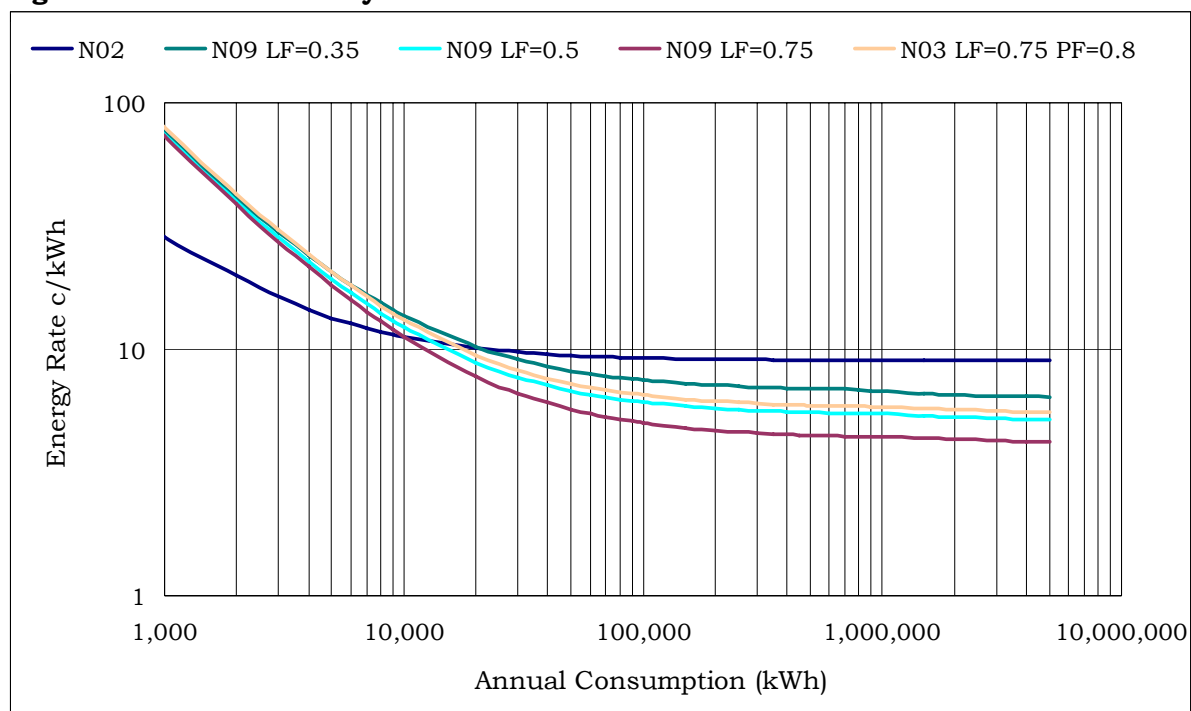
7.4 Cross-over Analysis

This section provides a series of cross-over analyses. These plots can be used to infer the annual consumptions at which any given Network Tariff becomes more efficient than another.

7.4.1 Small Customer Tariffs

Figure 5 provides comparisons between the General Network – Business N02 tariff and the two LV Metered Demand tariffs, N03 and N09 based upon the Proposed Period 3 Network tariffs.

Figure 5: Cross-over analysis for LV Business customers



8 Maximum Annual Revenue

The maximum annual revenue (AARR), which may be earned by Aurora for the provision of distribution services for each period as defined in the October 2007 Determination, is to be calculated on the following basis:

$$AARR_y = F_y \times PIF_y + \left[(ESISC_y + NEMC_y + TMR_y + GSLse_y) \times \frac{CPI_y}{CPI_{y-1}} \times (1 + WACC) \right] + K_{y-p} + NEM_y \times \frac{CPI_y}{CPI_{y-2}} + FRC_y + TAXA_y + L_y + CapCon_y + GSLcap_y + CF_y + O_y$$

Throughout this document the CPI and WACC escalation factors are included in the calculation of the individual components, thus the formulae becomes:

$$AARR_y = F_y \times PIF_y + ESISC_y + NEMC_y + TMR_y + GSLse_y + K_{y-p} + NEM_y + FRC_y + TAXA_y + L_y + CapCon_y + GSLcap_y + CF_y + O_y$$

$$AARR_3 = 204.982 \times \frac{166.0}{154.3} + 0.001 - 0.022 + 0 + 0 + 10.170 + 1.630 + 0 + 0 + 0 + 0 + 0 + 0 - 4.411$$

$$AARR_3 = 227.893m$$

The calculated aggregate annual revenue requirement for Period 3 (1 July 2009 to 30 June 2010) of the 2007 Pricing Determination is \$227.893m.

Where,

y is the period as defined in the determination;

F_y is the forecast maximum AARR for each period defined in table 1 of the determination;

PIF_y is the prescribed inflationary factor for the relevant period as defined in the determination;

$ESISC_y$ is the difference between the actual electrical safety inspection service charge for period $y-1$ and the relevant forecast for period $y-1$ in table 2 of the determination;

$NEMC_y$ is the difference between the National Energy Market charge and that forecast in table 3 of the determination for the relevant period;

TMR_y is the PIF escalated difference between the actual charge for the State Government Trunk Mobile Radio network and that forecast in table 5 of the determination for periods 4 and 5. If the contract is not renegotiated during Period 3 or a subsequent period, TMR_y for the subsequent period is to be $-\$400,000$ escalated by the PIF for the relevant period;

$GSLse_y$ is the adjustment arising from the methodology set out in Schedule 1 of the determination for the GSL threshold;

CPI_y is the CPI for the quarter ending 6 months prior to the commencement of the relevant period;

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

K_{y-p} is the adjustment for under or over recovery of allowable revenue in prior years due to variance in the customer base;

NEM_y is the PIF escalated difference between the actual allowance approved by the Regulator for period $y-2$ and that forecast in table 4 of the determination for Aurora Distribution's participation in the NEM and retail contestability costs (excluding full retail contestability costs);

FRC_y is the allowance for the implementation of full retail contestability as approved by the regulator;

$TAXA_y$ is the allowable tax event adjustment calculated in accordance with a methodology approved by the Regulator as consistent with Regulation 31(4) of the Price Control Regulations;

L_y is the allowable adjustment calculated in accordance with a methodology approved by the Regulator arising from changes in safety and/or environmental legislation;

$CapCon_y$ is the adjustment calculated in accordance with a methodology approved by the Regulator arising from a change to Aurora Distribution's capital contribution policies;

$GSLcap_y$ is the adjustment arising from the variance between actual payments to the PIF adjusted cumulative GSL threshold set out in table 6, calculated in accordance with the methodology set out in the determination;

CF_y is the adjustment arising from the administration of the 2003 Determination;

O_y is an adjustment approved by the Regulator to mitigate price fluctuations (no more than $\pm 2\%$ of F_y);

which parameters take the following values:

F_3 , the forecast maximum AARR for Period 3, as defined in Table 1 of the 2007 determination, is $\$204.982m$;

PIF₃, the prescribed inflationary factor for Period 3 (CPI_y/CPI_0), is 166.0/154.3:

ESISC₃, the electrical safety inspection service charge difference, is \$0.001m;

NEMC₃, the National Energy Market charge difference, is -\$0.022m;

TMR₃, the PIF escalated State Government Trunk Mobile Radio network difference, is \$0;

GSLse₃, the adjustment arising from the methodology set out in Schedule 1 of the determination for the GSL threshold, is \$0;

K_{3-p}, the adjustment for under or over recovery of allowable revenue in prior years due to variance in the customer base, is \$0;

NEM₃, the PIF escalated difference between the actual allowance approved by the Regulator for period y-2 and that forecast in table 4 of the determination for Aurora Distribution's participation in the NEM and retail contestability costs (excluding full retail contestability costs), is \$1.630m;

FRC₃, the allowance for the implementation of full retail contestability as approved by the regulator, is \$0;

TAXA₃, the allowable tax event adjustment calculated in accordance with a methodology approved by the Regulator as consistent with Regulation 31(4) of the Price Control Regulations, is \$0;

L₃, the allowable adjustment calculated in accordance with a methodology approved by the Regulator arising from changes in safety and/or environmental legislation, is \$0;

CapCon₃, the adjustment calculated in accordance with a methodology approved by the Regulator arising from a change to Aurora Distribution's capital contribution policies, is \$0;

GSLcap₃, the adjustment arising from the variance between actual payments to the PIF adjusted cumulative GSL threshold set out in table 6, calculated in accordance with the methodology set out in the determination, is \$0;

CF₃, the adjustment arising from the administration of the 2003 Determination, is \$0; and

O₃, the adjustment approved by the Regulator to mitigate price fluctuations, is -\$4.411.

8.1 Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the June and December quarter of each year will be that obtained from the Australian Bureau of Statistics web site, www.abs.gov.au or as amended from time to time.

The weighted average of all capital cities CPI index number for the December quarter of 2007 is 160.1.

The weighted average of all capital cities CPI index number for the June quarter of 2008 is 164.6.

The weighted average of all capital cities CPI index number for the December quarter of 2008 is 166.0.

8.2 Electrical Safety Inspection Service charge adjustment; $ESISC_y$

The adjustment for the difference between the actual electrical safety inspection service charge and the forecast charge for the previous period is to be calculated on the following basis:

$$ESISC_y = \left(ESISCa_{y-1} \times \frac{CPI_y}{CPI_{y-1}} - ESISCf_{y-1} \times \frac{CPI_y}{CPI_0} \right) \times (1 + WACC)$$

Where,

$ESISCa_{y-1}$ is the actual charge for the previous period, apportioned and CPI adjusted from the calendar year charge published in the Gazette¹;

$ESISCf_{y-1}$ is the forecast charge for the previous period, as detailed in Table 2 of the determination;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

Forecast ESIS charge for Period 1, $ESISCf_{y-1}$

The forecast electrical safety inspection service charge for period 1, as shown in Table 2 of the determination, is \$1.283m.

Actual ESIS charge for Period 1, $ESISCa_{y-1}$

The actual electrical safety inspection charge for period 1, as determined by the Minister and published in the Gazette, is \$1.284m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2008 is 166.0.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the December quarter of 2007 is 160.1.

¹ The minister will determine the ESISC on a calendar year basis. Thus the actual ESISC for the period y-1 will be calculated assuming the calendar year costs are equally divided between each six month block and inflated by CPI as appropriate.

Thus,

$$ESISC_3 = \left(2.665 \times \frac{166.0}{160.1} - 2.568 \times \frac{166.0}{154.3} \right) \times (1 + 0.0664)$$

$$ESISC_3 = 0.001m$$

For Period 3, $ESISC_3 = -\$0.001m$.

8.3 Prior years under or over recovery of revenue adjustment; K_{y-p}

The adjustment for under or over recovery of allowable revenue in prior years (K_{y-p}) for each period is to be calculated on the following basis:

$$K_{y-p} = \left(\sum_{y-2}^{CNa} [DNT_{y-2} \times CLa_{y-2}] - \sum_{y-2}^{CNe} [DNT_{y-2} - CLe_{y-2}] \right) \times \frac{CPI_y}{CPI_{y-2}} \times (1 + WACC_{y-2}) \times$$

$$(1 + WACC_{y-1}) + \left(\sum_{y-1}^{CNe} [DNT_{y-1} \times CLe_{y-1}] - \sum_{y-1}^{CNf} [DNT_{y-1} - CLf_{y-1}] \right) \times$$

$$\frac{CPI_y}{CPI_{y-1}} \times (1 + WACC_{y-1})$$

$$K_{y-p} = (DTRa_{y-2} - DT Re_{y-2}) \times \frac{CPI_y}{CPI_{y-2}} \times (1 + WACC_{y-2}) \times$$

$$(1 + WACC_{y-1}) + (DT Re_{y-1} - DTRf_{y-1}) \times \frac{CPI_y}{CPI_{y-1}} \times (1 + WACC_{y-1})$$

where,

$$DTRa_{y-2} = \left(\sum_{y-2}^{CNa} [DNT_{y-2} \times CLa_{y-2}] \right)$$

$$DT Re_{y-2} = \left(\sum_{y-2}^{CNe} [DNT_{y-2} \times CLe_{y-2}] \right)$$

$$DTRf_{y-1} = \left(\sum_{y-1}^{CNf} [DNT_{y-1} \times CLf_{y-1}] \right)$$

$$DT Re_{y-1} = \left(\sum_{y-1}^{CNe} [DNT_{y-1} \times CLe_{y-1}] \right)$$

Note: as the adjustment for the next period is calculated prior to the end of the current period, a forward estimate of the annual quantity is used and corrected in the subsequent period, also as per the definition of Distribution Network Tariff in the determination, excludes metering charges.

Where,

CNf is the forecast number of customers at the start of the relevant period;

CLf is the forecast customer load for the relevant period;

CNe is the estimated number of customers at the start of the relevant period;

CLe is the estimated customer load for the relevant period;

CNa is the actual number of customers at the start of the relevant period;

DNT_{y-1} is the distribution Network Tariff for the period prior to the relevant period;

Cle_{y-1} is the estimated customer load for the period prior to the relevant period;

Clf_{y-1} is the forecast customer load for the period prior to the relevant period;

DNT_{y-2} is the distribution Network Tariff for the period before the previous period;

Clay_{y-2} is the actual customer load for the period before the previous period;

Cle_{y-2} is the estimated customer load for the period before the previous period;

DTRa_{y-2} is the actual revenue from distribution Network Tariff for the period before the previous period;

DTRe_{y-2} is the estimated revenue from distribution Network Tariff for the period before the previous period;

DTRe_{y-1} is the estimated revenue from distribution Network Tariff for the period prior to the relevant period;

DTRf_{y-1} is the forecast revenue from distribution Network Tariff for the period prior to the relevant period;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period;

CPI_{y-2} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of two periods prior to the relevant period;

WACC_{y-1} is the Weighted Average Cost of Capital in the previous period; and

WACC_{y-2} is the Weighted Average Cost of Capital two periods previous.

Note that period 1 has only six months duration and therefore the WACC will only be half the annual WACC rate of 6.64% for period 1.

Actual revenue from distribution tariff for Period 1, DTRa_{y-2}

The actual revenue from distribution tariffs for period 1 is \$126.985m.

Estimated revenue from distribution tariff for Period 1, DTRe_{y-2}

The estimated revenue from distribution tariffs for period 1, as derived from the sum of the estimated number of customers, the estimated customer load and the distribution tariff for the period, is \$125.731m.

Forecast revenue from distribution tariff for Period 2, $DTRf_{y-1}$

The forecast revenue from distribution tariffs for Period 2, as derived from Table 37 of the Period 2 Network Tariff Pricing Proposal, is \$290.561m. This figure is derived by taking the total revenue less metering revenue due to the price cap nature of the metering revenue stream.

Estimated revenue from distribution tariff for Period 2, $DTRe_{y-1}$

The estimated revenue from distribution tariffs for Period 2, as derived from the sum of the estimated number of customers, the estimated customer load and the distribution tariff for the period, is \$280.047m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2008 is 166.0.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the December quarter of 2007 is 160.1.

Weighted Average of All Capital Cities CPI, CPI_{y-2}

The weighted average of all capital cities CPI index number for the June quarter of 2007 is 157.5.

Thus

$$K_{3-p} = \left(DT Re_{y-2} - DTRa_{y-2} \right) \times \frac{CPI_y}{CPI_{y-2}} \times (1 + WACC_{y-2}) \times$$

$$(1 + WACC_{y-1}) + \left(DTRf_{y-1} - DT Re_{y-1} \right) \times \frac{CPI_y}{CPI_{y-1}} \times (1 + WACC_{y-1})$$

$$K_{3-p} = (125.731 - 126.985) \times \frac{166.0}{157.5} \times \left(1 + \frac{0.0664}{2} \right) \times$$

$$(1 + 0.0664) + (290.561 - 280.047) \times \frac{166.0}{160.1} \times (1 + 0.0664)$$

$$K_{3-p} = 10.170$$

For Period 3, $K_{3-p} = \$10.170$

8.4 National Energy Market Charge Adjustment; $NEMC_y$

The adjustment for the difference between the actual National Energy Market charge and the forecast charge for the previous period is to be calculated on the following basis:

$$NEMC_y = \left(NEMCa_{y-1} \times \frac{CPI_y}{CPI_{y-1}} - NEMCf_{y-1} \times \frac{CPI_y}{CPI_0} \right) \times (1 + WACC)$$

Where,

$NEMCa_{y-1}$ is the actual charge for the previous period, apportioned and CPI adjusted from the annual charge published in the Gazette;

$NEMC_{y-1}$ is the forecast charge for the previous period, as detailed in Table 3 of the determination;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

Forecast NEM charge for Period 2, $NEMC_{y-1}$

The forecast NEM charge for Period 2, as detailed in Table 3 of the determination, is \$0.365m.

Actual NEM charge for Period 2, $NEMC_{a,y-1}$

The actual National Energy Market charge applicable to Period 2, as determined by the Minister and published in the Gazette is \$0.359m.

Weighted Average of All Capital Cities CPI, CPI_y

The weighted average of all capital cities CPI index number for the December quarter of 2008 166.0.

Weighted Average of All Capital Cities CPI, CPI_{y-1}

The weighted average of all capital cities CPI index number for the December quarter of 2007 160.1.

$$NEMC_3 = \left(0.359 \times \frac{166.0}{160.1} - 0.365 \times \frac{166.0}{154.3} \right) \times (1 + 0.0664)$$

$$NEMC_3 = -0.022m$$

For Period 3, $NEMC_3 = -\$0.022m$

8.5 Trunk Mobile Radio Network Charge Adjustment; TMR_y

The adjustment for the difference between the actual trunk mobile network charge and the forecast charge for the previous period is to be calculated on the following basis:

TMR_1 , TMR_2 and $TMR_3 = 0$

If contract is not renegotiated in Period 3,

$$TMR_4 = -\$400,000 \times \frac{CPI_y}{CPI_0}$$

Otherwise,

$$TMR_y = \left(TMR_{a,y-1} \times \frac{CPI_y}{CPI_{y-1}} - TMR_{f,y-1} \times \frac{CPI_y}{CPI_0} \right) \times (1 + WACC)$$

If contract is not renegotiated in period 4,

$$TMR_5 = -\$400,000 \times \frac{CPI_y}{CPI_0}$$

Otherwise,

$$TMR_y = \left(TMR_{y-1} \times \frac{CPI_y}{CPI_{y-1}} - TMR_{y-1}^f \times \frac{CPI_y}{CPI_0} \right) \times (1 + WACC)$$

Where,

TMR_{y-1} is the actual charge for the previous period;

TMR_{y-1}^f is the forecast charge for the previous period, as detailed in Table 5 of the determination;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_0 is the Weighted Average of All Capital Cities CPI for the quarter ending 30 June 2006, being 154.3;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

There is no adjustment for Trunk Mobile Radio Network charge for Period 3.

For Period 3, $TMR_2 = \$0$

8.6 *GSL threshold Adjustment; $GSLse_y$*

The adjustment for making single duration outage GSL payments to customers where the threshold for payments has been subsequently altered using the methodology described in Schedule 1 of the Determination and which has not previously been adjusted for is to be calculated on the following basis:

$$GSLse_y = \left(GSLse_{y-1} \times \frac{CPI_y}{CPI_{y-1}} \right) \times (1 + WACC)$$

Where,

$$GSLse_{y-1} = \sum_{events} \left(\frac{P}{2} \times 80 \right)$$

Where,

P is the number of payments made to customers who experienced an outage shorter than the adjusted threshold;

$GSLse_{y-1}$ is the sum of the payments made to customers who experienced an outage shorter than the adjusted threshold for the previous period;

WACC is the Weighted Average Cost of Capital, being 6.64% for a full year;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period; and

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period.

There has been no change to the GSL threshold for Period 3.

For Period 3, $GSLe_3 = \$0$

8.7 Participation in National Energy Market Adjustment; NEM_y

The adjustment for the difference between the actual allowance for period y-2 approved by the Regulator and the forecast allowance for period y-2 in relation to Aurora Distribution's participation in the NEM and retail contestability costs (but excluding full retail contestability costs) attributable to Aurora Distribution, as detailed in Table 4 of the Determination is to be calculated on the following basis:

$$NEM_y = (NEMf_{y-2} - NEMa_{y-2}) \times \frac{CPI_y}{CPI_{y-2}} \times (1 + WACC_{y-2}) \times (1 + WACC_{y-1})$$

Where,

$NEMf_{y-2}$ is the forecast revenue in relation to the preparation for and participation in the NEM for Aurora Distribution for period y-2 as detailed in Table 4 of the Determination;

$NEMa_{y-2}$ is the forecast revenue in relation to the preparation for and participation in the NEM for Aurora Distribution for period y-2 as detailed in Table 4 of the Determination;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_{y-2} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of two periods prior to the relevant period;

$WACC_{y-1}$ is the Weighted Average Cost of Capital in the previous period; and

$WACC_{y-2}$ is the Weighted Average Cost of Capital two periods previous.

There is no adjustment for participation in the NEM for Period 3.

For Period 3, $NEM_3 = \$0$

8.8 Allowance for implementation of Full Retail Contestability; FRC_y

There is no adjustment for implementation of Full Retail Contestability for Period 3.

For Period 3, $FRC_3 = \$0$

8.9 Legislation change adjustment; L_y

There is no adjustment for legislative change for Period 3.

For Period 3, $L_3 = \$0$

8.10 Capital Contribution policy adjustment; $CapCon_y$

There is no adjustment for variation to capital contribution policy for Period 3.

For Period 2, $CapCon_2 = \$0$

8.11 GSL payment adjustment; $GSLcap_y$

The adjustment for where total GSL payments to customers for period 1 to period y (inclusive) exceeds the cumulative threshold given in Table 6 of the Determination for is to be calculated on the following basis:

For Period 1:

$$GSLcap_y = \left(GSLa_{y-1} - GSLf_{y-1} \times \frac{CPI_y}{CPI_0} \right) \times (1 + WACC_{y-1})$$

For other periods:

$$GSLcap_y = \left(\sum_1^y GSLa_{\$2006} - GSLf_{y-1} \right) \times \frac{CPI_y}{CPI_0} \times (1 + WACC_{y-1})$$

Else, the adjustment for period 1 is zero and for all other periods the adjustment is zero less the sum of all adjustments made in periods 1 to y-1 (inclusive).

Where,

$GSLa_{y-1}$ is the actual GSL payments made in the previous period;

$GSLa_{\$2006}$ is the actual GSL payments made in the previous periods in \$2006;

$GSLf_{y-1}$ is the cumulative GSL threshold given in Table 6 of the Determination;

CPI_y is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the relevant period;

CPI_{y-1} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of the period previous to the relevant period;

CPI_{y-2} is the Weighted Average of All Capital Cities CPI for the quarter ending six months prior to the start of two periods prior to the relevant period;

$WACC_{y-1}$ is the Weighted Average Cost of Capital in the previous period; and

$WACC_{y-2}$ is the Weighted Average Cost of Capital two periods previous.

There is no adjustment for GSL payments for Period 3.

For Period 3, $GSLcap_3 = \$0$

8.12 Revenue banking adjustment; O_y

The maximum provision of O_y for revenue banking that can be utilised for any Period is equal to $\pm 2\%$ of F_y .

The forecast F_y for Period 3, as derived from Table 1 of the determination, is \$204.982m.

For Period 3, the maximum value of O ($O_{\max}$) is:

$$O_{\max} = \pm 0.02 \times 204.982 \times \frac{166.0}{154.3}$$

$$O_{\max} = \pm 4.411$$

For Period 3, Aurora utilised a value of -4.411 for O_3

$$O_3 = -\$4.411$$

8.13 Adjustments arising from the administration of the 2003 Determination; CF_y

There is no adjustment arising from the administration of the 2003 Determination applicable for Period 3.

For Period 3, $CF_3 = \$0$

9 Audit Certificate

This section is to address Guideline 2.3(d)(11): “A Network Tariff Pricing Proposal must...be accompanied by an internal audit certificate and certified as correct by the Chairman and one other Director of Aurora”.

The audit certificate and certification from the Chairman and one other director is attached.

10 Definitions

“A” or **“Amp”** means ampere;

“AARR” means the aggregate annual revenue requirement determined in accordance with Clause 4 of the 2007 Determination;

“ABC” means aerial bundled cable;

“AER” means the Australian Energy Regulator;

“Aurora” means Aurora Energy Pty Ltd (ABN 85 082 464 622);

“charging parameters” of a Network Tariff means the constituent elements of the Network Tariff;

“Consumer Price Index” or **“CPI”** means the Consumer Price Index: Average All Capital Cities published by the Australian Statistician under the Census and Statistics Act 1905 of the Commonwealth;

“Contestable Customer Regulations” means the *Electricity Supply Industry (Contestable Customer) Regulations 2005*;

“customer” has the same meaning as in the TEC;

“distribution connected customer” means a distribution customer other than an electricity retailer, where distribution customer and electricity retailer have the same meaning as in the TEC;

“distribution Network Tariff” means the schedule of fees (including the rate or rates) Aurora uses to calculate the amount it charges customers, or a class of customers, to recover its AARR, as amended from time to time;

“DORC” means depreciated optimised replacement cost;

“DUoS” means Distribution Use of System;

“duration of the Determination” means the period from 1 January 2008 to 30 June 2012.

“ESI Act” means the *Electricity Supply Industry Act 1995*;

“Final Pricing Investigation Report” means the *Investigation of Prices for Electricity Distribution Services and Retail Tariffs on Mainland Tasmania, Final Report and Proposed Maximum Prices* issued in September 2007;

“FRC” means Full Retail Contestability;

“Guideline” means the *Approval of Network Tariffs in accordance with the 2007 Determination Guideline* issued by the Regulator in November 2007;

“HV” means high voltage;

“kVA” means kilovolt amp;

“kW” means kilowatt;

“kWh” means kilowatt hour;

“large customer” means a customer that is not a small customer;

“LV” means low voltage;

“National Electricity Law” or **“NEL”** has the same meaning as in the ESI Act;

“National Electricity Market” or **“NEM”** has the same meaning as in the ESI Act;

“National Electricity Rules” or **“NER”** has the same meaning as in the ESI Act;

“NEMMCO” has the same meaning as in the ESI Act;

“NEM related costs” means those costs incurred by Aurora in providing the declared services related to electricity market reform as approved by the Regulator under Clause 4 of the 2007 Determination;

“Network Tariff” means the schedule of fees (including the rate or rates) Aurora uses to calculate the amount it charges customers, or a class of customers, for network services, and for network services and metering services associated with a Type 5, 6 or 7 installation, as amended from time to time;

“NTS” means the Network Tariff Strategy;

“NUoS” means network use of system;

“ORC” means optimised replacement cost;

“Period 1” means the period commencing 1 January 2008 and ending on 30 June 2008;

“Period 2” means the period commencing 1 July 2008 and ending on 30 June 2009;

“Period 3” means the period commencing 1 July 2009 and ending on 30 June 2010;

“Period 4” means the period commencing 1 July 2010 and ending on 30 June 2011;

“Period 5” means the period commencing 1 July 2011 and ending on 30 June 2012;

“Price Control Regulations” mean the *Electricity Supply Industry (Price Control) Regulations 2003*;

“Regulator” has the same meaning as in the ESI Act;

“small customer” has the same meaning as in the 2007 Determination;

“TEC” means the Tasmanian Electricity Code (as amended from time to time), published by the Regulator under the ESI Act;

“ToU” means time of use;

“Transend” means Transend Networks Pty Ltd (ABN 57 082 586 892) or its successors;

“transmission charges” means those charges attributable to distribution connected customers imposed by Transend for the provision of transmission services in accordance with the NER;

“TUoS” means Transmission Use of System;

“typical customers” means a set of customers derived using the methodology described in the *Typical Electricity Customers Information Paper* issued by the Office of the Tasmanian Energy Regulator in March 2006;

“2007 Determination” means the *Electricity Supply Industry Pricing Policies Declared Electrical Services Pricing Determination* issued by the Regulator in accordance with the Price Control Regulations in October 2007.